

COVER SHEET

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S.E.C. Registration Number

[illegible]

(Company's Full Name)

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(Business address: No. Street City / Town / Province)

ERIC PETER Y. ROXAS
Contact Person

(632) 8813 8892
Company Telephone Number

1	2	3	1
Month		Day	
Fiscal Year			

1	7	-	Q	
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Form Type

September 30	
Month	Day
Annual Meeting	

N/A

Secondary License Type, If Applicable

M	S	R	D
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Dept. Requiring this Doc.

Amended Articles Number/Section

11

Total No. of Stockholders

Total Amount of Borrowings

	-
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Domestic

Borrowings

Foreign

To be accomplished by SEC Personnel Concerned

[illegible]

LCU

[illegible]

CASHIER

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. SEC Identification No. CS201789692
3. BIR Tax Identification No. 009-695-754-00000
4. Exact name of issuer as specified in its charter NexGen Energy Corp.
5. Province, country or other jurisdiction of incorporation or organization Philippines
6. Industry Classification Code (SEC Use Only)
7. Address of principal office 3rd Floor JTKC Centre, 2155 Chino Roces Ave., Makati City
Postal Code 1230
8. Issuer's telephone number, including area code (02) 8813-8892
9. Former name or former address, if changed since last report N/A
10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding
COMMON	1,490,000,003

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
Philippine Stock Exchange - ALL Outstanding Common Shares

12. Are any or all of the securities listed on a Stock Exchange?

(a). has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 there under, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports

Yes ☒ No ☐

(b). has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

PART I--FINANCIAL INFORMATION

SECTION 1

**NEXGEN ENERGY CORP.
AND SUBSIDIARIES**

**UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS
AS AT SEPTEMBER 30, 2025 AND DECEMBER 31, 2024 AND
FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024**

NEXGEN ENERGY CORP. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

		September 30	December 31
	Note	2025	2024
ASSETS			
Current Assets			
Cash	5	₱ 84,412,863	₱9,459,822
Funds held in escrow	6	202,711,672	398,493,436
Trade and other receivables	7	29,713,181	23,083,203
Due from related parties	17	301,949,565	180,639,875
Other current assets	8	19,067,670	12,469,784
Total Current Assets		637,854,950	624,146,120
Noncurrent Assets			
Feed-in-tariff (FIT) rate differential receivables - net of current portion	7	28,161,041	23,871,669
Property, plant, and equipment	9	687,323,340	700,526,779
Right-of-use (ROU) assets	19	33,712,227	33,712,227
Advances for acquisition of investment	4	--	14,000,000
Goodwill	4	51,262,928	51,262,928
Deferred tax assets	18	9,910,333	9,910,333
Other noncurrent assets	8	198,616,557	198,657,737
Total Noncurrent Assets		1,008,986,426	1,031,941,673
		₱1,646,841,376	₱1,656,087,793
LIABILITIES AND EQUITY			
Current Liabilities			
Trade and other payables	10	₱14,602,590	₱33,374,309
Current portion of loan payable	11	25,974,091	25,974,091
Current portion of lease liabilities	19	2,579,469	2,579,469
Current portion of due to related parties	17	75,646,072	39,670,855
Income tax payable		2,500,497	2,687,369
Total Current Liabilities		121,302,719	104,286,093
Noncurrent Liabilities			
Loan payable - net of current portion	11	51,625,100	71,105,668
Due to related parties - net of current portion	17	615,679,389	627,910,932
Lease liabilities - net of current portion	19	34,157,121	36,065,496
Retirement liability	12	1,043,316	1,043,316
Deferred tax liability	18	24,375,763	24,375,763
Total Noncurrent Liabilities		726,880,690	760,501,175
Total Liabilities		₱848,183,409	864,787,268

		September	December 31
	Note	2025	2024
Equity			
Capital stock	13	₱149,000,000	₱149,000,000
Additional paid-in capital	13	623,145,778	623,145,778
Deficit		(61,243,610)	(68,354,339)
Other equity reserves		2,532,637	2,532,637
		713,434,804	706,488,165
Non-controlling interest	4	85,223,163	84,812,360
Total Equity		798,657,967	791,300,525
		₱1,646,841,376	₱1,656,087,793

See accompanying Notes to Consolidated Financial Statements.

NEXGEN ENERGY CORP. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

		FOR THE NINE MONTHS ENDING SEPTEMBER 30		FOR THE THREE MONTHS ENDING SEPTEMBER 30	
	Note	2025	2024	2025	2024
SALE OF ELECTRICITY	19	₱ 64,275,348	₱99,031,462	₱ 14,927,975	₱33,996,325
COST OF SALE OF ELECTRICITY	14	60,836,793	71,823,210	18,273,736	22,003,885
GROSS INCOME		3,438,556	27,208,252	(3,345,761)	11,992,440
OPERATING EXPENSES	15	(11,400,602)	(11,244,854)	(1,337,143)	(6,812,892)
INTEREST EXPENSE	11	(6,091,816)	(7,538,022)	(1,925,656)	(2,404,592)
OTHER INCOME (CHARGES)	16	21,411,306	1,900,166	7,648,565	1,890,723
INCOME (LOSS) BEFORE INCOME TAX		7,357,443	10,325,542	1,040,004	4,665,679
INCOME TAX EXPENSE (BENEFIT)	18				
Current		--	692,998	--	692,998
		--	692,998	--	692,998
NET INCOME (LOSS)		7,357,443	9,632,544	1,040,004	3,972,681
OTHER COMPREHENSIVE GAIN (LOSS)					
<i>Not to be reclassified to profit or loss in subsequent periods</i>					
Remeasurement gain (loss) on retirement liability - net of deferred tax	12	--	(226,568)	--	--
TOTAL COMPREHENSIVE INCOME (LOSS)		₱ 7,357,443	₱9,405,976	₱ 1,040,004	₱3,972,681
NET INCOME (LOSS) ATTRIBUTABLE TO:					
Equity holders of the Parent Company		₱ 6,946,640	₱6,426,696	₱ 1,006,998	₱2,605,568
Non-controlling interest		410,803	2,979,280	33,006	1,367,113
		₱ 7,357,443	₱9,405,976	₱ 1,040,004	₱3,972,681
TOTAL COMPREHENSIVE INCOME (LOSS) ATTRIBUTABLE TO:					
Equity holders of the Parent Company		₱ 6,946,640	₱6,426,696	₱ 1,006,998	₱2,605,568
Non-controlling interest		410,803	2,979,280	33,006	1,367,113
		₱ 7,357,443	₱9,405,976	₱ 1,040,004	₱3,972,681
BASIC/DILUTED EARNINGS (LOSS) PER SHARE	22	₱0.005	₱0.005	--	₱0.002

See accompanying Notes to Consolidated Financial Statements.

NEXGEN ENERGY CORP. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

		Months Ended September 30	
	Note	2025	2024
CAPITAL STOCK	13		
Balance at beginning of year		₱149,000,000	₱ 87,500,000
Issuances of shares			61,500,000
Balance at end of year		149,000,000	149,000,000
ADDITIONAL PAID IN CAPITAL	13		
Balance at beginning of year		623,145,778	633,543,394
Balance at end of year		623,145,778	633,543,394
DEFICIT			
Balance at beginning of year		(68,190,250)	(68,094,855)
Net income (loss) attributable to equity holders of the Parent Company		6,946,640	6,602,921
Balance at end of year		(61,243,610)	(61,491,934)
OTHER EQUITY RESERVES			
Balance at beginning of year		2,532,637	(176,225)
Balance at end of year		2,532,637	(176,225)
TOTAL EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT COMPANY		713,434,804	720,875,235
NON-CONTROLLING INTEREST			
Balance at beginning of year		84,812,360	86,617,456
Change in ownership interest	4		
Net income (loss)		410,803	3,029,623
Balance at end of year		85,223,163	89,647,079
		₱ 798,657,967	₱810,522,314

See accompanying Notes to Consolidated Financial Statements.

NEXGEN ENERGY CORP. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS

		Months Ended September 30	
	Note	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income (loss) before income tax		₱ 7,357,443	₱10,325,542
Adjustments for:			
Depreciation and amortization	9	45,057,702	50,255,379
Reversal of accrued expense	19	--	--
Unrealized foreign exchange loss (gain)	17	--	--
Interest expense	11	6,091,816	7,538,022
Interest income	5	(678,559)	(1,900,166)
Retirement expense	12	--	--
Provision for impairment loss on other current assets	8	--	--
Write-off of due from related parties	17	--	--
Operating income before working capital changes		57,828,402	66,188,777
Decrease (increase) in:			
Trade and other receivables		(10,919,349)	(9,105,841)
Other current assets		(6,597,886)	(9,486,123)
Increase (decrease) in trade and other payables		(18,771,719)	1,443,379
Net cash generated from operations		21,539,448	49,040,192
Income tax paid			(1,275,951)
Interest received		678,559	5,318
Net cash provided by operating activities		22,218,006	47,769,559
CASH FLOWS FROM INVESTING ACTIVITIES			
Advances made to suppliers and contractors		--	--
Additions to property, plant, and equipment	9	(19,537,271)	(80,105,104)
Advances made to related parties	17	(121,309,690)	(63,119,467)
Refund of (additions to) security deposits		--	--
Additions to other noncurrent assets		--	(80,905,489)
Net cash used in investing activities		(140,846,961)	(224,130,000)

(Forward)

		Months Ended September 30	
	Note	2025	2024
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from Deposit for future Stock Subscription	13	--	₱583,500,000
Advances from related parties - net		219,525,438	53,417,657
Payments of:			
Loan payable	11	(19,480,568)	(19,824,961)
Interest	11	(4,434,720)	(5,405,221)
Lease liabilities	19	(1,908,375)	(3,569,102)
IPO Expenditures			(13,616,522)
Net cash provided by (used in) financing activities		193,701,775	594,555,851
NET INCREASE (DECREASE) IN CASH		75,072,821	418,195,410
CASH AT BEGINNING OF THE PERIOD		9,340,042	4,588,119
CASH AT END OF THE PERIOD		₱ 84,412,863	₱422,783,529

NEXGEN ENERGY CORP. AND SUBSIDIARIES

NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS
AS AT SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
AND FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024

1. General Information

NexGen Energy Corp. (XG or the Parent Company)

The Parent Company was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on June 7, 2017. It was subsequently listed on the Philippine Stock Exchange (PSE) on July 16, 2024. The Parent Company is engaged in the development and generation of renewable energy resources, including but not limited to biomass, biogas, hydropower, wind, and solar energy.

The Parent Company is a subsidiary of Pure Energy Holdings Corporation (PEHC), an investment holding company of entities primarily engaged in renewable energy generation, as well as water system management and distribution. PEHC is a 76%-owned subsidiary of DYT Equities Corporation (the Ultimate Parent Company), an investment holding company. All the aforementioned entities are incorporated in the Philippines.

Change in Corporate Name

On December 13, 2023, the SEC approved the change in the corporate name of the Parent Company from Just Solar Corp. to NexGen Energy Corp.

Subsidiaries

The consolidated financial statements include the financial statements of the Parent Company and its subsidiaries (collectively referred to as “the Group”):

Name of Subsidiaries	Percentage of Ownership		
	2024	2023	2022
SPARC - Solar Powered Agri-rural Communities Corporation (SPARC)	95.56%	77.78%	77.78%
5hour Peak Energy Corp. (5HPEC)	100.00%	100.00%	–
Airstream Renewables Corp. (ARC)	100.00%	100.00%	–

SPARC - Solar Powered Agri-rural Communities Corporation (SPARC)

SPARC was incorporated in the Philippines and is primarily engaged in the business of generating power from solar energy and other renewable sources for lighting and electricity purposes. It operates three (3) solar power plants located in Bataan, Bulacan and Zambales.

The breakdown of the Parent Company’s percentage of ownership in SPARC is as follows:

Type of shares	2024	2023	2022
Common	98.89%	90.00%	90.00%
Preferred	65.56%	65.56%	65.56%

In 2024, the Parent Company subscribed to additional 80,000,000 common shares, amounting to ₱80,000,000, following the SEC’s approval for the increase in SPARC’s authorized capital stock. This resulted to the increase in XG’s ownership in common shares to 98.89% (see Note 4).

5hour Peak Energy Corp. (5HPEC)

5HPEC was incorporated and registered as a renewable energy developer of solar energy in the Philippines. In 2024, 5HPEC was granted two (2) solar energy operating contracts which are under the pre-development stage as at December 31, 2024.

Airstream Renewables Corp. (ARC)

ARC was incorporated and registered as a renewable energy developer of wind resources in the Philippines. In 2024, ARC was granted eight (8) wind energy service contracts (WESC). In the same year, Repower Energy Development Corporation (REDC), an entity under common control, assigned four (4) WESC to ARC. All of ARC's WESCs are in the pre-development stage as at December 31, 2024.

Registered Address

The Parent Company and its Subsidiaries' principal office address is located at 3rd Floor JTKC Centre, 2155 Don Chino Roces Ave. Makati City, Philippines.

Approval of the Consolidated Financial Statements

The consolidated financial statements of the Group as at December 31, 2024 and 2023 and for the years ended December 31, 2024, 2023 and 2022, were approved and authorized for issue by the Board of Directors (BOD) on April 29, 2025, as reviewed and recommended for approval by the Audit Committee on the same date.

2. Summary of Material Accounting Policy Information

Basis of Preparation and Statement of Compliance

The consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards, as issued by the Philippine Financial and Sustainability Reporting Standards Council (FRSC) and adopted by the SEC, including SEC pronouncements. This financial reporting framework includes PFRS, Philippine Accounting Standards (PAS) and Philippine Interpretations from International Financial Reporting Interpretations Committee (IFRIC).

Consistency of Accounting Policies

The material accounting policies used in the preparation of the consolidated financial statements have been consistently applied to all the years presented, unless otherwise stated.

Measurement Bases

The consolidated financial statements are presented in Philippine Peso, the Group's functional and presentation currency. All values are rounded to the nearest Peso, unless otherwise indicated.

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for lease liabilities, which are measured at present value of future minimum lease payments, and retirement liability, which is measured at present value of the defined benefit obligation.

Historical cost is generally based on the fair value of the consideration given in exchange for an asset or consideration paid in exchange for the incurrence of a liability.

Fair value is the price that would be received for selling an asset or paid for transferring a liability in an orderly transaction between market participants on the measurement date.

Further information about the assumptions made in measuring fair values is included in Note 21.

Adoption of Amended PFRS Accounting Standards

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following amended PFRS Accounting Standards effective for annual periods beginning on or after January 1, 2024 -

- Amendments to PAS 1, *Presentation of Financial Statements - Noncurrent Liabilities with Covenants* - The amendments clarified that covenants to be complied with after the reporting date do not affect the classification of debt as current or noncurrent at the reporting date. Instead, the amendments require the entity to disclose information about these covenants in the notes to the consolidated financial statements.

The adoption of the amended PFRS Accounting Standards did not materially affect the consolidated financial statements of the Group. Additional disclosures were included in the consolidated financial statements, as applicable.

New and Amended PFRS Accounting Standards in Issue But Not Yet Effective or Adopted

Relevant new and amended PFRS Accounting Standards, which are not yet effective as at December 31, 2024 and have not been applied in preparing the consolidated financial statements, are summarized below.

Effective for annual periods beginning on or after January 1, 2025 -

- Amendments to PAS 21, *The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability* - The amendments clarify when a currency is considered exchangeable into another currency and how an entity determines the exchange rate for currencies that lack exchangeability. The amendments also introduce new disclosure requirements to help users of financial statements assess the impact when a currency is not exchangeable. An entity does not apply the amendments retrospectively. Instead, an entity recognizes any effect of initially applying the amendments as an adjustment to the opening balance of retained earnings when the entity reports foreign currency transactions. When an entity uses a presentation currency other than its functional currency, it recognizes the cumulative amount of translation differences in equity. Earlier application is permitted.

Effective for annual periods beginning on or after January 1, 2026 -

- Amendments to PFRS 9, *Financial Instruments*, and PFRS 7, *Financial Instruments: Disclosures - Classification and Measurement of Financial Assets* - The amendments clarify that a financial liability is derecognized when the related obligation is discharged, cancelled, expires or otherwise qualifies for derecognition (e.g. settlement date), and introduces a policy option to derecognize financial liabilities settled through an electronic payment system before settlement date if the required conditions are met. The amendments also clarify the assessment of contractual cash flow characteristics of financial assets, the treatment of non-recourse loans and contractually linked instruments, as well as require additional disclosure requirements for financial assets and liabilities with contingent features and equity instruments classified at fair value through other comprehensive income (FVOCI). Earlier application is permitted.

- Annual Improvements to PFRS Accounting Standards Volume 11:
 - Amendments to PFRS 7, *Financial Instruments: Disclosures* - The amendments update and remove some obsolete references related to the gain or loss on derecognition on financial assets of an entity that has a continuing involvement and to the disclosure requirements on deferred differences between fair value and transaction price. The amendments also clarify that the illustrative guidance does not necessarily illustrate all the requirements for credit risk disclosure. Earlier application is permitted.
 - Amendments to PFRS 9, *Financial Instruments - Transaction Price and Lessee Derecognition of Lease Liabilities* - The amendments clarify that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee must apply the derecognition criteria for a financial liability which requires recognition of a gain or loss in profit or loss. The amendments also replace the reference to transaction price as defined by PFRS 15, *Revenue from Contracts with Customers* to the amount determined by applying PFRS 15 to remove potential confusion. Earlier application is permitted.
 - Amendments to PFRS 10, *Consolidated Financial Statements - Determination of a 'de facto agent'* - The amendments remove inconsistencies by clarifying that an entity must use judgment to determine whether other parties are acting as de facto agents. Earlier application is permitted.
 - Amendments to PAS 7, *Statement of Cash Flows - Cost Method* - The amendments replace the term 'cost method' with 'at cost' following the deletion of the definition of 'cost method'. Earlier application is permitted.

Effective for annual periods beginning on or after January 1, 2027 -

- PFRS 18, *Presentation and Disclosure in Financial Statements* - This standard replaces PAS 1, *Presentation of Financial Statements*, and sets out the requirements for the presentation and disclosure of information to help ensure that the consolidated financial statements provide relevant information that faithfully represents the entity's assets, liabilities, equity, income and expenses. The standard introduces new categories and sub-totals in the statements of comprehensive income, disclosures on management-defined performance measures, and new principles for grouping of information, which the entity needs to apply retrospectively. Earlier application is permitted.

Under prevailing circumstances, the adoption of the foregoing new and amended PFRS Accounting Standards is not expected to have any material effect on the consolidated financial statements of the Group. Additional disclosures will be included in the consolidated financial statements, as applicable.

Basis of Consolidation

The consolidated financial statements include the accounts of the Parent Company and its subsidiaries as at September 30, 2025 and December 31, 2024 and for the months ended September 30, 2025, and September 30, 2025.

Subsidiaries. Subsidiaries are entities controlled by the Parent Company. Control exists when the Parent Company is exposed to, or has rights to, variable returns from its investment with the investee and has the ability to influence those returns through its power over the investee.

When the Parent Company holds less than a majority of the voting or similar rights in an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee.
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

Subsidiaries are consolidated from the date on which control is transferred to the Parent Company and continue to be consolidated until the date such control ceases. They are de-consolidated from the date that control ceases.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies. All intra-group balances, transactions, unrealized gains and losses resulting from intra-group transactions and dividends are eliminated in full.

Changes in controlling equity ownership that do not result in a loss of control are accounted for as equity transactions.

Non-controlling interest represents the portion of net results and net assets not owned by the Parent Company. They are presented within the equity in the consolidated statements of financial position, separate from equity attributable to equity holders of the Parent Company, and are disclosed separately in the consolidated statements of comprehensive income.

Losses incurred by a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

Goodwill. Goodwill is initially measured at cost, which represents the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed.

After initial recognition, goodwill is measured at cost, less any accumulated impairment losses. For impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of a cash-generating unit and a portion of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in its carrying amount when calculating the gain or loss on disposal. In such cases, the goodwill is allocated based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

Classification of Assets and Liabilities between Current and Noncurrent

The Group presents current and noncurrent assets, and current and noncurrent liabilities, as separate disclosure in the notes to the consolidated financial statements.

Current Assets. The Group classifies an asset as current when:

- a. it expects to realize the asset, or intends to sell or consume it, in its normal operating cycle;
- b. it holds the asset primarily for the purpose of trading;
- c. it expects to realize the asset within twelve months after the reporting period, or
- d. the asset is cash or cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Otherwise, the Group will classify all other assets as noncurrent.

Current Liabilities. The Group classifies a liability as current when:

- a. it expects to settle the liability in its normal operating cycle;
- b. it holds the liability primarily for the purpose of trading;
- c. the liability is due to be settled within twelve months after the reporting period, or
- d. it does not have a right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

Otherwise, the Group will classify all other liabilities as noncurrent.

Financial Assets and Liabilities

The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of a financial instrument.

Initially, financial instruments are recognized at fair value, which is the fair value of the consideration given for an asset or received for a liability. The initial measurement of financial instruments includes transaction cost, except for those financial instruments designated at fair value through profit or loss.

“Day 1” Difference. Where the transaction in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (“Day 1” difference) in profit or loss. In cases where there is no observable data on inception, the Group deems the transaction price as the best estimate of fair value and recognizes the “Day 1” difference in profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the “Day 1” difference.

After initial recognition, financial instruments are measured at amortized cost using the effective interest method. This involves accounting for any discounts or premiums, and fees that are part of the effective interest rate. Gains and losses are recognized in profit or loss when these assets are derecognized or through amortization process. For financial assets, the subsequent measurement also includes the consideration of any impairment allowance.

The classification of a financial instrument depends on the Group’s business model and the contractual cash flow characteristics of the instrument.

Financial Assets at Amortized Cost

Financial assets are measured at amortized cost if they are held within a business model aimed in collecting contractual cash flows, and their term result in cash flows that are solely payments of principal and interest.

The Group's financial assets at amortized cost includes cash, funds held in escrow, trade receivables, due from related parties, FIT rate differential receivables and restricted cash (presented as part of "Other current assets" account).

Impairment and Derecognition of Financial Assets

The Group recognizes an allowance for expected credit loss (ECL) on financial asset at amortized cost based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive. The difference is then discounted at an approximation to the asset's original effective interest rate.

For trade receivables and FIT rate differential receivables, the Group applies the simplified approach to calculate ECL based on the lifetime ECL. A provision matrix is used, incorporating the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment.

For other financial assets at amortized cost, ECL is assessed based on liquidity of counterparties, utilizing available financial information. The Group applies a 12-month ECL approach, unless there has been a significant increase in credit risk since initial recognition, in which case, the allowance will be based on lifetime ECL.

When credit risk improves and ECL decreases, the allowance is adjusted, and the reversals are recognized in profit or loss. However, the asset's value cannot exceed its amortized cost at the reversal date.

Financial assets are written off when there is no reasonable expectation of recovering it, typically when the counterparty lacks sufficient assets or income to repay the amount owed.

Financial assets are derecognized when the right to receive cash flows from the asset has expired or the Group has transferred its right to receive cash flows from the financial asset.

Financial Liabilities at Amortized Cost

The Group recognizes financial liabilities at amortized cost when the contractual arrangement creates an obligation to deliver cash or another financial asset to the holder, or to settle the obligation in a manner other than exchanging a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

The Group's trade and other payables (excluding statutory payables), due to related parties, loan payable and lease liabilities are classified as financial liabilities at amortized cost.

Advances for Acquisition of Investment

Advances for acquisition of investment represent advance payments for the acquisition of common and preferred shares, to be applied to the agreed total purchase price. These are carried in the consolidated statements of financial position at the amount of cash paid and are transferred to the corresponding asset account upon the completion and fulfillment of the terms and conditions outlined in the purchase agreement.

Property, Plant, and Equipment

Property, plant, and equipment, except for construction in progress, are carried at cost, less accumulated depreciation and amortization and any impairment losses.

Construction in progress is stated at cost. This includes cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and available for operational use.

The initial cost of property, plant, and equipment includes purchase price, import duties, and other costs directly attributable to bring the asset to its working condition and location for its intended use and the estimated cost of dismantling and site restoration, if applicable.

Expenditures incurred after the property, plant, and equipment have been put into operation, such as repairs and maintenance costs are normally charged to current operations. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant, and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional costs of property, plant, and equipment.

The cost of replacing a component of an item of property, plant, and equipment is recognized if it is probable that the future economic benefits embodied within the component will flow to the Group, and its cost can be measured reliably. The carrying amount of the replaced component is derecognized.

Depreciation is calculated on the straight-line basis over the estimated useful lives of the property, plant, and equipment as follows:

Asset Type	Number of Years
Solar equipment	20
Solar plant facilities and site equipment	3 to 20
Furniture, fixtures, and office equipment	3 to 5
Transportation equipment	5
Leasehold improvements	5

The estimated useful lives and depreciation and amortization method are reviewed periodically to ensure that the periods and method of depreciation are consistent with the expected pattern of economic benefits from items of property, plant, and equipment.

Fully depreciated and amortized property, plant and equipment are retained in the account until they are no longer in use.

When assets are retired or otherwise disposed of, the cost and the related accumulated depreciation and amortization and any impairment in value are removed from the accounts. Any resulting gain or loss is recognized to profit or loss.

Input VAT

Input VAT represents the value-added tax incurred on the purchase of goods and services. Revenues, expenses and assets are recognized net of VAT, except where VAT cannot be recovered from the tax authority. Recoverable VAT is presented as part of “Other current assets” in the consolidated statements of financial position.

Deferred input VAT represents the VAT amount on unpaid services that is not declared to the tax authority until the corresponding amount of payable is paid.

Advances to Suppliers and Contractors

Advances to suppliers and contractors are amounts paid in advance for the purchase of materials, supplies and services. These are carried in the consolidated statements of financial position at the amount of cash paid and are reclassified to the appropriate asset account when the related materials and supplies are received, or services have been performed.

Impairment of Nonfinancial Assets

The carrying amounts of the Group’s nonfinancial assets are reviewed at each reporting date to determine whether there are indications of impairment. If any such indications exist, the asset’s recoverable amount is estimated.

An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit (CGU) exceeds its recoverable amount. A CGU is the smallest identifiable group of assets that generates cash flows largely independent from other assets of the Group.

The recoverable amount of a nonfinancial asset is the greater of its value in use or its fair value less costs to sell. Value in use refers to the present value of future cash flows expected to be derived from using an asset, while the fair value less cost to sell is the amount obtainable from the sale of an asset in an arm’s length transaction between knowledgeable and willing parties, less cost of disposal.

In assessing value in use, the estimated future cash flows are discounted to their present values using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses are recognized in profit or loss in the period incurred.

Impairment losses recognized in prior periods are reviewed at each reporting date for indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine recoverable amount. An impairment loss is reversed only to the extent that the asset’s carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized.

Capital Stock and Additional Paid-In Capital (APIC)

Capital stock is measured at par value for all issued shares. Proceeds or fair value of considerations received in excess of par value, if any, are recognized as APIC.

Incremental costs incurred directly attributable to the issuance of new shares are recognized in equity as deduction from proceeds, net of tax.

Deficit

Deficit represents the cumulative net results of operations.

Other Equity Reserves

Other equity reserves consist of transfers from noncontrolling interest due to changes in ownership interest in a subsidiary without loss of control, as well as other comprehensive gain (loss). Other comprehensive gain (loss) comprises of items of income and expenses that are not recognized in profit or loss for the year in accordance with PFRS Accounting Standards. Other comprehensive gain (loss) specifically pertains to remeasurement losses on retirement liability, net of tax.

Basic/Diluted Earnings (Loss) Per Share

The Group presents basic and diluted earnings (loss) per share data for its common shares.

Basic earnings (loss) per share is calculated by dividing the net income (loss) attributable to common shareholders of the Parent Company by the weighted average number of common shares issued and outstanding during the year.

Diluted earnings per share amounts are computed in the same manner, adjusted for the dilutive effect of any potential common shares.

Revenue Recognition

Revenue from contracts with customers is recognized when the performance obligation in the contract has been satisfied, either at a point in time or over time.

The Group also assesses its revenue arrangements to determine if it is acting as a principal or as an agent. The Group has assessed that it acts as a principal in all its revenue sources.

Variable Consideration. If the consideration in a contract includes a variable amount, the Group estimates the amount of consideration to which it will be entitled in exchange for the performance obligation. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognized will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

Significant Financing Component. The Group typically receives payments for the FIT rate differential within five (5) years after the actual delivery of electricity. Considering the length of time between the customer's payment and the fulfilment of the performance obligation, the Group assessed that these transactions include a significant financing component. Consequently, the transaction price is discounted using a rate that would be applicable in a separate financing transaction between the Group and the customer at contract inception.

The following specific recognition criteria must also be met before revenue is recognized:

Sale of Electricity. Revenue from power generation is recognized based on the actual delivery of power, net of any quantity adjustments.

Interest Income. Interest income is recognized as the interest accrues, taking into account the effective yield on the asset, net of final tax.

Other Income. Income from other sources is recognized when earned during the period.

Cost and Expense Recognition

Costs and expenses are recognized in profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably.

Cost of Sale of Electricity. Cost of sale of electricity is recognized as expense as incurred.

Operating Expenses. Operating expenses constitute costs of administering the business. These are expensed as incurred.

Interest Expense. Interest expense is recognized in profit or loss using the effective interest method.

Leases

A contract is, or contains, a lease when it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as Lessee

At the commencement date, the Group recognizes right-of-use (ROU) asset and a lease liability for all leases, except for leases with lease terms of 12 months or less (short-term leases) and leases for which the underlying asset is of low value in which case the lease payments associated with those leases are recognized as an expense on a straight-line basis.

ROU Asset. At commencement date, the Group measures the ROU asset at cost. The cost comprises:

- The amount of the initial measurement of lease liability;
- Any lease payments made at or before the commencement date less any lease incentives received;
- Any initial direct costs incurred by the Group; and
- An estimation of costs to be incurred by the Group in dismantling and removing the underlying asset, when applicable.

After the commencement date, the ROU asset is carried at cost less any accumulated amortization and accumulated impairment losses and adjusted for any remeasurement of the related lease liabilities.

Lease Liability. At commencement date, the Group measures lease liability at the present value of future lease payments using the interest rate implicit in the lease, if that rate can be readily determined. Otherwise, the Group uses its incremental borrowing rate.

Lease liability is subsequently measured at amortized cost. Interest on lease liability and any variable lease payments not included in the measurement of lease liability are recognized in profit or loss unless these are capitalized as costs of another asset. Variable lease payments not included in the measurement of the lease liability are recognized in profit or loss when the event or condition that triggers those payments occurs.

Employee Benefits

Short-term Benefits. The Group recognizes a liability net of amounts already paid and an expense for services rendered by employees during the accounting period. A liability is also recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Short-term employee benefit liabilities are measured on an undiscounted basis and are expensed as the related service is provided.

Retirement Benefit Costs. The Group has an unfunded, non-contributory defined benefit plan covering all qualified employees in compliance with Republic Act No. 7641, "Retirement Pay Law", which

requires the Group to pay minimum retirement benefits to employees who retire after reaching the mandatory retirement age of 65 years old or the optional retirement age of 60 years old with at least five (5) years of service to the Group. The retirement benefits cost is determined using the projected unit credit method which reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

The Group recognizes service costs, comprising of current service costs, past service costs, and interest expense in profit or loss.

Interest on the retirement liability is the change during the period in the retirement liability that arises from the passage of time which is determined by applying the discount rate based on government bonds to the retirement liability. Interest is calculated by applying the discount rate to the retirement liability.

Remeasurements comprising actuarial gains are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

The retirement liability is the aggregate of the present value of the retirement liability on which the obligations are to be settled directly. The present value of the retirement liability is determined by discounting the estimated future cash outflows using interest rate on government bonds that have terms to maturity approximating the terms of the related retirement liability.

Actuarial valuations are made with sufficient regularity so that the amounts recognized in the consolidated financial statements do not differ materially from the amounts that would be determined at the reporting date.

Income Taxes

Current Tax. Current tax assets and liabilities are measured at the amounts expected to be recovered from or paid to the tax authority. The tax rates used to compute these amounts are based on tax laws enacted or substantively enacted as at the reporting date.

Deferred Tax. Deferred tax is recognized for all temporary differences as of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences and the carryforward benefits of unused net operating loss carryover (NOLCO), provided it is probable that taxable income will be available to utilize these deductible temporary differences and carryforward benefits of unused tax losses.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced if it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and recognized if it becomes probable that future taxable income will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured using the tax rates for the year in which the asset is expected to be realized or the liability settled, based on tax laws in effect as at the reporting date.

Deferred tax assets and deferred tax liabilities are offset when a legally enforceable right exists to offset current tax assets against current tax liabilities and deferred taxes relate to the same taxable entity and the same tax authority.

Foreign Currency-Denominated Transactions and Translation

Transactions denominated in foreign currencies are recorded using the exchange rate at the date of the transaction.

Outstanding monetary assets and liabilities denominated in foreign currencies are translated using the closing exchange rate at the reporting date. All differences are recognized in profit or loss.

Related Parties and Related Party Transactions

Related party transactions consist of transfers of resources, services or obligations between the Group and its related parties.

Parties are related if one party can directly or indirectly, control or exercise significant influence over the other party in making financial and operating decisions. These include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled, or under common control with the Group; (b) associates; (c) individuals owning directly or indirectly, an interest in the voting power of the Group that give them significant influence over the Group and close members of the family of any such individual; and (d) members of the key management personnel of the Group.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

Segment Reporting

The Group's operating segments are organized and managed separately based on the nature of the services provided, with each segment representing a strategic business unit offering distinct services to different markets. Financial information on operating segments is presented in Note 23.

The CEO, the chief operating decision maker, reviews management reports on a regular basis. The Group's measurement policies for segment reporting under PFRS 8 align with those used in the consolidated financial statements. There have been no changes in the measurement methods used to determine reported segment profit or loss from prior periods.

For purposes of management reporting, the Group's operating segment is related to its renewable energy generation operations.

Provisions

Provisions are recognized when the Group has a present legal or constructive obligation arising from a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are calculated by discounting expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is applied, the increase in the provision due to the passage of time is recognized as an interest expense.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements but are disclosed in the notes to consolidated financial statements unless the likelihood of an outflow of economic benefits is remote. Contingent assets are also not recognized in the consolidated financial statements but are disclosed in the notes to consolidated statements when an inflow of economic benefits is probable.

Events After the Reporting Period

Any events after the reporting period that provides additional information about the Group's consolidated financial position at the end of the reporting period (adjusting event) are reflected in the

consolidated financial statements. Non-adjusting events after the reporting period are disclosed in the notes to consolidated financial statements, if material.

3. Significant Judgments, Accounting Estimates and Assumptions

The preparation of the Group's consolidated financial statements requires management to exercise judgments and make accounting estimates and assumptions that affect the amounts reported in the consolidated financial statements and accompanying notes. These judgments, accounting estimates, and assumptions are based on management's evaluation of relevant facts and circumstances as at the reporting date.

While the Group considers its assumptions to be reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions could materially impact the estimated amounts. Actual results may differ from these estimates.

The judgments, accounting estimates and underlying assumptions are reviewed on an on-going basis. Changes in accounting estimates are recognized in the period in which the estimate is revised if the change affects only that period or in the period of the change and future periods if the revision affects both current and future periods.

Judgments

In applying the Group's accounting policies, management has made certain judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Estimating the Variable Considerations. The Group estimates the amount of consideration for its sale of electricity. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognized will not occur when the associated uncertainty is subsequently resolved.

In estimating the variable consideration, the Group uses the expected value method which is calculated as the sum of probability-weighted amounts in a range of possible consideration amounts.

The estimated variable consideration is updated at the end of each reporting period to faithfully represent the circumstances present at the end of the reporting period. Any changes in transaction price arising from resolution of uncertain events or other changes in circumstances are recognized as revenue or as a reduction to revenue, in the period in which the transaction price changes.

In 2024, 2023 and 2022, the Group recognized FIT rate differential based on the approved FIT rate increment which will be generally recovered for a period of five (5) years from actual delivery of electricity.

The carrying amounts of FIT rate differential receivables and amounts of related revenues are disclosed in Notes 7 and 19.

Classifying the Lease Commitments - Group as a Lessee. The Group has entered into lease agreements for its plant sites and staff houses.

The Group recognized ROU assets and lease liabilities on its lease agreements for plant sites. The Group assessed the appropriate lease term and discount rates which are significant components in the measurement of ROU assets and lease liabilities.

The carrying amounts of ROU assets and lease liabilities are disclosed in Note 19.

The Group also has leases with terms of 12 months or less. The Group applied the recognition exemption for short-term leases and lease of low-value assets for these leases.

Rent expense on the lease qualifying under the short-term recognition exemption are disclosed in Note 19.

Defining the Financial Assets that are in Default and Credit-Impaired. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- a. Quantitative Criteria - the borrower is more than 30 days past due on its contractual payments, which is consistent with the Group's definition of default.
- b. Qualitative Criteria - The borrower is unlikely to pay, or there are indicators that the borrower is in significant financial difficulty. These are instances where:
 - The borrower is insolvent;
 - The borrower is in breach of financial covenants;
 - It is probable that the borrower will enter bankruptcy or other financial reorganization.

The criteria mentioned have been consistently applied to all financial instruments held by the Group for internal credit risk management purposes. The default definition has been applied consistently, as well, to the determination of ECL.

Accounting Estimates and Assumptions

The key assumptions about the future and other key sources of estimation uncertainty at the reporting date, which pose a significant risk of causing material adjustments to the carrying amounts of the assets and liabilities within the next financial year are discussed below.

Assessing the Impairment of Goodwill. The Group tests annually whether any impairment in goodwill should be recognized, in accordance with the related accounting policy. The recoverable amount of CGU has been determined based on value in use calculations which require the use of estimates.

As at December 31, 2024 and 2023, the value in use of the CGU (including goodwill) is greater than its carrying amount.

No impairment loss was recognized in 2024, 2023 and 2022.

The carrying amount of goodwill is disclosed in Note 4.

Estimating the ECL on Trade Receivable and FIT Rate Differential Receivables. The Group uses a provision matrix based on historical default rates to estimate the ECL for trade receivables and FIT rate differential receivables. This matrix specifies provision rates according to the number of days these receivables are past due. If the historical credit loss experience patterns vary across customer segments, then it is based on appropriate groupings. This matrix is calibrated using historical credit loss data adjusted with forward-looking information derived from current observable data, reflecting the effects of current and forecasted economic conditions.

The Group adjusts historical default rates when forecasted economic conditions are expected to deteriorate, which may result in higher default rates within the industry. The Group regularly reviews the methodology and assumptions used to estimate ECL to minimize discrepancies between estimated and actual credit loss experiences. The relationship between historical default rates and

forecasted economic conditions is a significant estimate, and thus, the provisions for ECL of these receivables are sensitive to changes in assumptions about forecasted economic conditions.

No provisions for ECL were recognized in 2024, 2023 and 2022.

The carrying amounts of trade receivables and FIT rate differential receivables are disclosed in Note 7.

Assessing the Impairment of Other Financial Assets at Amortized Cost. The Group determines the allowance for ECL based on the probability-weighted estimate of the present value of all cash shortfalls over the expected life of financial assets at amortized cost. ECL are provided for credit losses that result from possible default events within the next 12-months unless there has been a significant increase in credit risk since initial recognition in which case ECL are provided based on lifetime ECL.

When determining if there has been a significant increase in credit risk, the Group considers reasonable and supportable information that is available without undue cost or effort and that is relevant for the financial instrument being assessed such as, but not limited to, the following factors:

- actual or expected external and internal credit rating downgrade;
- existing or forecasted adverse changes in business, financial or economic conditions; and
- actual or expected significant adverse changes in the operating results of the borrower.

The Group's financial assets at amortized cost are considered to have low credit risk, and therefore the loss allowance is determined as 12-months ECL. The Group has assessed that the ECL for financial assets at amortized cost is not material because the transactions with respect to these financial assets were entered into by the Group only with reputable banks and counterparties with good credit standing and relatively low risk of defaults. Accordingly, no impairment loss was recognized in 2024, 2023 and 2022.

The carrying amounts of other financial assets at amortized cost are disclosed in Notes 5, 6, 8 and 17.

Estimating the Useful Lives of Property, Plant, and Equipment and ROU assets. The Group reviews annually the estimated useful lives of property, plant, and equipment and ROU assets based on expected asset's utilization, market demands and future technological development consistent with the Group's pursuit of constant modernization to ensure the availability, reliability and cost efficiency of these assets. Changes in factors mentioned could impact on the estimated useful lives of these assets. A reduction in estimated useful lives could cause a significant increase in depreciation and amortization of property, plant, and equipment and ROU assets.

There were no changes in the estimated useful lives of property, plant, and equipment and ROU assets in March 2025 and December 2024.

The carrying amount of property, plant, and equipment and ROU assets are disclosed in Notes 9 and 19.

Assessing the Impairment of Nonfinancial Assets, Excluding Goodwill. The Group assesses the impairment on nonfinancial assets whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Key factors which could trigger an impairment review include the following:

- significant underperformance relative to expected historical or projected future operating results;
- significant changes in the manner of use of the acquired assets or the strategy for overall business;
- or

- significant negative industry or economic trends.

Impairment loss is recognized when the carrying amount of an asset exceeds its recoverable amount. Recoverable amounts are estimated for individual assets or, if it is not possible, for CGU to which the asset belongs.

No provision for impairment was recognized in 2024 and 2022. In 2023, the Group recognized provision for impairment on other current assets as disclosed in Note 8.

The carrying amounts of other nonfinancial assets of the Group are disclosed in Notes 7, 8, 9 and 19.

Recognizing and Assessing the Realizability of Deferred Tax Assets. The Group assesses whether it is probable that sufficient future taxable income will be available to utilize deferred tax assets. The assessment involves estimation uncertainty, particularly, in forecasting future taxable income and determining the impact of forward-looking factors, such as changes in market conditions or business environment. The Group regularly reviews and updates its policy when necessary.

The carrying amounts of deferred tax assets, and the unrecognized portion, are disclosed in Note 18.

4. **Goodwill and Material Non-Controlling Interests**

Goodwill

Goodwill arising from the acquisition of SPARC amounted to ₱51.3 million as at December 31, 2024 and 2023. This represents the difference between the fair value of the assets acquired and liabilities assumed at the acquisition date amounting to ₱257.6 million and the consideration paid.

For the purposes of impairment assessment, the Group determined the recoverable amount of goodwill based on value in use. The value in use is based on a discounted cash flow model using the SPARC's financial forecasts for the next five years. The Group assessed that there is no impairment in goodwill.

The following key assumptions were used in computing the value in use of the CGU:

- Pre-tax weighted average cost of capital (WACC) reflects the management's estimate of risks specific to the CGU. WACC used in discounting the future cash flows in 2024 is 8.27%.
- Revenue and long-term growth rate were adjusted to reflect the inflationary increase and other macroeconomic factors, and the operational efficiency of the Group's solar power plants. The growth rate applied in 2024 is 3.20%.
- Estimated operational costs are calculated based on average fixed and variable costs, adjusted for inflationary increases, without accounting for any potential future restructuring or cost saving measures.

Non-controlling Interest

In 2024, the Parent Company subscribed to an additional 80,000,000 common shares of SPARC amounting to ₱80,000,000 (see Note 1). This transaction resulted to a change in the relative ownership interest of the non-controlling interest. Accordingly, the carrying amount of noncontrolling interest aggregating ₱2,669,037 was recognized as part of "Other equity reserves" account in the consolidated statements of financial position.

The percentage of ownership of the NCI as at December 31 are as follows:

	2024	2023	2022
Percentage of ownership	4.44%	22.22%	22.22%

The breakdown of the NCI's percentage of ownership in SPARC is as follows:

	2024	2023	2022
Common shares	1.11%	10.00%	10.00%
Preferred shares	34.44%	34.44%	34.44%

The summarized financial information of the material partly owned subsidiary is presented below.

This information is based on the amounts before intercompany eliminations.

	2024	2023
Current assets	₱216,779,528	₱216,779,528
Noncurrent assets	799,609,226	770,050,793
Current liabilities	60,366,923	697,068,593
Noncurrent liabilities	736,125,412	136,385,666
Equity	219,896,419	127,308,481
Revenue	115,657,163	130,183,766
Net income	13,343,688	27,559,262
Total comprehensive income	13,387,938	27,322,694

Advances for Acquisition of Investment

As at September 30, 2025 and December 31, 2024, advances for acquisition of investment amounted to ₱14,000,000, which represent deposits made by the Parent Company to purchase the remaining 4.44% and 22.22%, respectively, of SPARC's common and preferred shares from its minority shareholders.

5. Cash

This account consists of:

	September 2025	December 2024
Cash on hand	₱ 149,780	₱119,780
Cash in banks	84,263,083	9,340,042
	₱84,412,863	₱9,459,822

Cash in banks earn interest at prevailing bank deposit rates. Cash in banks are immediately available for use in the current operations.

Interest income recognized in the consolidated statements of comprehensive income are as follows (see Note 16):

	Note	September 2025	December 2024
FIT rate differential receivables	7	₱ 27,315	₱1,327,944
Fund held in escrow	6	226,840	93,436
Trade receivables	7	16,250	21,666
Restricted cash	8	2,543	3,523
Cash in banks		405,611	3,474

	₱678,559	₱1,450,043
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6. Funds Held in Escrow

The Parent Company appointed a universal bank as the custodian bank (the Custodian Bank) to manage and administer the proceeds of the IPO.

The IPO proceeds are kept separate and distinct from all other funds in custody of the Custodian Bank. The Custodian Bank maintains independent books of records of all the transactions of the escrow account and shall release the proceeds to the Parent Company, subject to the issuance of a letter of instructions, and a written certification under oath, signed by the Chief Financial Officer of the Parent Company, stating the purpose for which the Parent Company shall use the funds, and such purpose is exclusively in accordance with the approved use of proceeds.

The escrow deposit maintained under escrow account with the Custodian Bank amounted to ₱202,711,672 as at September 30, 2025 (see Note 13). Net withdrawals from the funds held in escrow amounted to nil as at September 30, 2025.

Interest income earned amounted to ₱226,840 in 2025 (see Note 5).

7. Trade and Other Receivables

This account consists of:

	Note	September 2025	December 2024
Trade		₱27,226,395	₱17,833,419
FIT rate differential receivables	19	32,790,697	31,288,377
Others		324,683	300,630
		60,341,775	49,422,426
Less allowance for ECL		-2,467,554	(2,467,554)
		57,874,221	46,954,872
Less noncurrent portion		28,161,041	23,871,669
Current portion		₱29,713,181	₱23,083,203

Trade receivables pertain to receivable from revenue on power generation which are generally collectible within 30 to 90 days.

The Group is entitled to collect default interest on trade receivables, 30 days after the due date, based on the 91-day treasury bill rate plus 300 basis points. Interest income from trade receivables amounted to ₱16,250 in September 30, 2025 (see Note 5).

FIT rate differential receivables pertain to discounted retroactive FIT rate adjustments the Group is entitled to collect generally within five (5) years from actual delivery of electricity.

Balances of FIT rate differential receivables are presented as follows (see Note 19):

	September 2025	December 2024
Current	₱ 4,629,656	₱7,416,708
Noncurrent	28,161,041	23,871,669
	₱32,542,945	₱31,288,377

Interest income earned from discounting the FIT rate differential receivables amounting to ₱27,315 and ₱1,327,944 in September 30, 2025 and December 31, 2024, respectively (see Note 5).

Other receivables include advances to employees for business-related expenses subject to liquidation, generally within the following month.

No provision for ECL on trade and other receivables were recognized in 2025, 2024, and 2023.

8. Other Assets

This account consists of:

	Note	September 2025	December 2024
Current			
Input VAT		₱11,038,824	₱11,038,824
Restricted cash	11	9,145,302	8,747,465
Prepayments		6,600,066	1,309,085
Others		909,068	--
		27,693,260	21,095,374
Less allowance for impairment of other current assets		8,625,590	8,625,590
		19,067,670	12,469,784
Noncurrent			
Advances to suppliers and contractors		198,428,279	198,469,459
Security deposits	19	188,278	188,278
Others		--	--
		198,616,557	198,657,737
		₱217,684,227	₱211,127,521

Input VAT includes VAT on imported materials for solar energy facilities covered by the import entry declaration by the Bureau of Customs.

The movement of allowance for impairment of other current assets are as follows:

	Note	2025	2024
Balance at beginning of year		₱8,625,590	₱8,625,590
Provision	16	--	--
Balance at end of year		₱8,625,590	₱8,625,590

The allowance for impairment of other current assets pertains to the input VAT which the Group may not be able to utilize and those that are beyond the two-year period for filing an administrative claim for a refund.

Restricted cash refers to funds set aside for next quarter's loan and interest payments (see Note 11). Interest income from restricted cash amounted to ₱2,543, ₱3,523, and ₱3,710 in 2025 (January – September), 2024, and 2023, respectively (see Note 5).

Advances to suppliers and contractors represent down payments made for capitalizable assets intended for use in the Group's operations.

Security deposits represent deposits made under lease contracts entered by the Group. These are non-refundable and are generally applied as the final payment at the end of lease agreement.

9. Property, Plant and Equipment

Movements and balances of this account consist of:

September 2025							
	Solar Equipment	Solar Plant Facilities and Site Equipment	Furniture, Fixtures and Office Equipment	Transportation Equipment	Leasehold Improvements	Construction in Progress	Total
Cost							
Balance at beginning of year	₱799,649,558	₱370,531,335	₱876,666	₱1,349,107	₱480,244	₱14,005,752	₱1,186,892,662
Additions	5,462,168	65,102	849,638	--	--	25,477,355	31,854,264
Balance at end of year	805,111,726	370,596,437	1,726,304	1,349,107	480,244	39,483,107	1,218,746,926
Accumulated Depreciation							
Balance at beginning of year	335,485,553	148,902,747	628,476	1,349,107	--	--	486,365,883
Depreciation	31,395,317	13,653,978	8,408	--	--	--	45,057,703
Balance at end of year	366,880,870	162,556,725	636,884	1,349,107	--	--	531,423,586
Carrying Amount	₱438,230,856	₱208,039,712	₱1,089,421	₱--	480,244	39,483,107	687,323,340

December 2024							
	Solar Equipment	Solar Plant Facilities and Site Equipment	Furniture, Fixtures and Office Equipment	Transportation Equipment	Leasehold Improvements	Construction in Progress	Total
Cost							
Balance at beginning of year	₱798,291,058	₱368,086,239	₱640,919	₱1,349,107	₱--	₱--	₱1,168,367,323
Additions	1,358,500	2,445,096	235,747	--	480,244	14,005,752	18,525,339
Balance at end of year	799,649,558	370,531,335	876,666	1,349,107	480,244	14,005,752	1,186,892,662
Accumulated Depreciation							
Balance at beginning of year	293,896,830	130,401,478	602,421	1,349,107	--	--	426,249,836
Depreciation	41,588,723	18,501,269	26,055	--	--	--	60,116,047
Balance at end of year	335,485,553	148,902,747	628,476	1,349,107	--	--	486,365,883
Carrying Amount	₱464,164,005	₱221,628,588	₱248,190	₱--	₱480,244	₱14,005,752	₱700,526,779

Construction in progress pertains to the development costs of the Group's wind farms and a solar plant. As at December 31, 2024, the projects under construction are as follows:

	Estimated Completion Date	Estimated Cost to Complete
Silang Wind Farm	2027	₱5,900,000,000
Asisan Wind Farm	2028	2,300,000,000
Palauig Solar Plant	2026	210,000,000
		₱8,410,000,000

The cost of fully depreciated property, plant and equipment still being used by the Group amounted to ₱2,894,549 and ₱2,476,272 as at December 31, 2024 and 2023, respectively.

Property, Plant, and Equipment as Loan Securities

The Group's solar equipment, plant facilities and site equipment were mortgaged in favor of certain creditor bank as collateral to finance their construction and acquisition (see Note 11). The carrying amounts are as follows:

	September 2025	December 2024
Solar equipment	₱438,230,856	₱464,164,005
Solar plant facilities and site equipment	208,039,712	221,628,588
	₱646,270,568	₱685,792,593

Depreciation and Amortization

Depreciation and amortization charged to operations are as follows:

	Note	September 2025	December 2024
Property, plant and equipment		₱42,793,448	₱60,116,047
ROU assets	19	2,264,254	3,019,005
		₱45,057,702	₱63,135,052

Depreciation and amortization are distributed as follows:

	Note	September 2025	December 2024
Cost of sale of electricity	14	₱45,057,702	₱63,090,468
Operating expenses	15	--	44,584
		₱45,057,702	₱63,135,052

10. Trade and Other Payables

This account consists of:

	Note	September 2025	December 2024
Trade		₱ 1,644,289	₱1,971,762
Accrued expenses		12,431,927	30,479,733
Statutory payables		144,768	541,208
Interest payable	11	381,606	381,606
		₱14,602,590	₱33,374,309

Trade payables are noninterest-bearing and are generally settled in varying periods within one (1) year depending on the arrangements with suppliers.

Accrued expenses consist primarily of accrual for ancillary services rendered by the National Grid Corporation of the Philippines (NGCP) and for financial benefits to be paid to the Department of Energy (DOE) (see Note 19) which are generally settled within one (1) year after the reporting period.

In 2024, the portion of the accrual for ancillary services amounting to ₱28,576,549, was reversed. This resulted in a gain on the reversal of accrued expenses, which was recognized as part of "Other income (charges)" in the consolidated statements of comprehensive income (see Notes 16 and 19).

Statutory payables include taxes withheld by the Group on employees' compensation and on payments to suppliers. These are remitted to the respective regulatory agencies in the following month.

Interest payable pertains to accrued interest from loan payable to local creditor bank.

11. Loan Payable

Balance and movements in this account are as follows:

	September 2025	December 2024
Balance at beginning of year	₱97,402,841	₱123,376,932
Payments	(19,480,569)	(25,974,091)
Balance at end of year	77,922,272	97,402,841
Less unamortized debt issue costs	323,082	323,082
	77,599,191	97,079,759
Less current portion	(25,974,091)	25,974,091
Noncurrent portion	₱51,625,100	₱71,105,668

On August 19, 2016, SPARC entered into a 12-year loan agreement for the construction of its 14.0-Megawatt (MW) solar power plants. The total credit facility amounted to ₱800,000,000 but shall only be allowed for drawdown when the Solar Power Plants, on a per site basis, become eligible for FIT rate of not less than ₱6.00 per kilowatt hour (kWh) as granted by the Energy Regulatory Commission (ERC).

The Group was granted the first loan and only drawdown amounting to ₱285,715,000 out of the ₱800,000,000 credit facility after the 5.0-MW plant in Palauig, Zambales became eligible for FIT rate at ₱8.70 per kWh in 2016.

The loan bears an annual interest rate of 5.5% for the first five (5) years subject to repricing starting September 2021. Starting September 9, 2021, the annual interest is at 6.5% until the loan matures on September 8, 2028. The loan is payable in 44 equal quarterly installments that started on the fifth quarter after drawdown.

The loan payable includes financial covenants such as debt-to-equity ratio, current ratio, and debt service coverage ratio during the term of the loan. As at December 31, 2024, the Group is compliant with all the financial covenants.

As at December 31, 2023, the Group has complied only with debt service coverage ratio. Pursuant to the loan agreement, the noncompliance shall constitute default only if it continues after the notice thereof by the creditor bank. The Group has not received any notice from the creditor bank on the partial noncompliance of the financial covenants since the initial drawdown and has continued to make payments based on the original terms of the loan. Accordingly, as at December 31, 2023, the Group did not reclassify the noncurrent portion of the loan as current.

On April 3, 2024, the creditor bank waived SPARC's compliance with the maximum debt-to-equity and minimum current ratio as at December 31, 2023, and the submission of certain post-release documents. In addition, the creditor bank directed SPARC to infuse additional capital of at least ₱80,000,000 and not pay its advances from shareholders/due to related parties as long as the loan remains outstanding.

On September 9, 2024, the Parent Company subscribed to additional 80,000,000 common shares of SPARC amounting to ₱80,000,000 (see Note 1). The related stock issuance cost amounting to ₱800,000 was recognized directly as part of “Deficit” in the consolidated statements of financial position.

The loan is secured by chattel mortgages over all the assets in the three (3) solar power plants, the value of which is higher compared with the loan granted (see Note 9), pledge over all shares of stock held by the stockholders of SPARC, assignment of rights and privileges over the Renewable Energy Payment Agreement (REPA) with National Transmission Corporation (TransCo.) and real estate mortgage over leasehold rights on various lease contracts on the three (3) solar power plants (see Note 19), maintenance of all revenue account for the three (3) solar power plants with the lending bank and hold out of one (1) quarterly amortization in the debt service account maintained with the lending bank.

Expected Principal Repayments

The expected loan principal repayments over the remaining term of the loan as at December 31 are as follows:

	September 2025	December 2024
Not later than one year	₱25,974,091	₱25,974,091
Later than one year but not later than five years	51,625,100	97,402,841
	₱77,599,191	₱123,376,932

Debt Issue Costs

Debt issue costs pertain to documentary stamp taxes and other transaction costs incurred in connection with the loan. Movements of unamortized debt issue costs are as follows:

	September 2025	December 2024
Balance at beginning of year	₱323,082	₱520,343
Amortization	--	(197,261)
Balance at end of year	₱323,082	₱323,082

Interest Expense

Interest expense charged to operations are as follows:

	Note	September 2025	December 2024
Loan payable		₱6,091,816	₱7,505,588
Lease liabilities	19	1,657,096	2,298,808
		₱7,748,912	₱9,804,396

12. Retirement Liability

The Group maintains an unfunded and non-contributory defined benefit retirement plan covering all its qualified employees. The retirement benefits are based on years of service and compensation on the last year of employment, as determined by an independent actuary as at December 31, 2024.

The breakdown of retirement expense are as follows:

	2024	2023
Current and past service cost	₱181,073	₱572,636
Interest expense	53,208	33,823
	₱234,281	₱606,459

The movements of retirement liability recognized in the consolidated statements of financial position as at December 31 are as follows:

	2024	2023
Balance at beginning of year	₱858,201	₱–
Current service cost	181,073	115,572
Interest expense	53,208	33,823
Past service cost	–	457,064
Remeasurement losses (gain) on:		
Experience adjustments	(66,431)	92,638
Change in financial assumptions	17,265	159,104
Balance at end of year	₱1,043,316	₱858,201

The cumulative remeasurement losses on retirement liability recognized in other comprehensive gain (loss) and its corresponding deferred tax effect are as follows:

2024			
	Cumulative Remeasurement Losses	Deferred Tax (see Note 18)	Net
Balance at beginning of year	₱251,742	₱25,174	₱226,568
Remeasurement gain	(49,166)	(4,916)	(44,250)
Balance at end of year	₱202,576	₱20,258	₱182,318

2023			
	Cumulative Remeasurement Losses	Deferred Tax (see Note 18)	Net
Balance at beginning of year	₱—	₱—	₱—
Remeasurement loss	251,742	25,174	226,568
Balance at end of year	₱251,742	₱25,174	₱226,568

The discount rate and salary projection rate used as principal assumptions for the purpose of actuarial valuation are as follows:

	2024	2023
Discount rate	6.1%	6.2%
Salary projection rate	5.0%	5.0%

The sensitivity analysis based on reasonable possible changes of assumptions is presented below.

		Effect on Present Value of Retirement Liability	
		Discount Rate	Salary Projection Rate
Change in Assumption			
December 31, 2024	+1%	(₱157,376)	₱189,076
	-1%	194,604	(156,110)
December 31, 2023	+1%	(135,340)	164,126
	-1%	168,508	(134,546)

The expected future benefit payments within the following years after December 31 are as follows:

	2024	2023
Within one (1) year	₱—	₱—
After one (1) year but not more than 10 years	714,276	752,037
More than 10 years	15,333,005	18,573,142

As at December 31, 2024 and 2023, the weighted average duration of the retirement benefit obligation is 5.6 years and 4.5 years, respectively.

13. Capital Stock

The balance and movements of this account are as follows:

	September 2025		December 2024	
	No. of Shares	Amount	No. of Shares	Amount
Authorized Capital Stock				
Balance at beginning of year	2,000,000,000	₱200,000,000	2,000,000,000	₱200,000,000
Reduction in par value	—	—	—	—
Increase	—	—	—	—
Balance at end of year	2,000,000,000	₱200,000,000	2,000,000,000	₱200,000,000
Issued and Outstanding				
Balance at beginning of year	1,490,000,003	₱149,000,000	875,000,000	₱87,500,000
Issuances of shares	--	--	615,000,003	61,500,000
Reduction in par value	—	—	—	—
Balance at end of year	1,490,000,003	₱149,000,000	1,490,000,003	₱149,000,000

On May 31, 2023, the stockholders and the BOD of the Parent Company approved an increase in authorized capital stock and a reduction in par value from ₱50,000,000 divided into 50,000,000 shares at par value of ₱1.00 per share, to ₱200,000,000 divided into 2,000,000,000 shares with a par value of ₱0.10 per share.

On December 13, 2023, the SEC approved the increase in authorized capital stock and the reduction in par value. PEHC applied its advances amounting to ₱248,159,916 as payment for an additional subscription of common shares from the unissued portion of the authorized capital stock and a portion of the increase in authorized capital stock aggregating ₱75,000,000. The excess of the advances over the par value of the additional subscription resulted to additional paid-in capital of ₱173,159,916 (see Note 17).

On February 16, 2024, PEHC applied its advances amounting to ₱31,500,000 as payment for additional common shares amounting to ₱31,500,000, divided into 315,000,003 shares at par value of ₱0.10.

On July 16, 2024, the Parent Company successfully completed its initial public offering of 300,000,000 shares at ₱1.68 per share. The net proceeds from the IPO, after stock issuance cost, amounted to ₱481,975,386. The excess of the offer price over the par value of the issued shares equivalent to ₱474,000,000 was recognized as APIC.

As at December 31, 2024, the unutilized proceeds from the IPO amounted to ₱398,493,436 and are expected to be fully utilized in the second quarter of 2025 (see Note 6).

The composition of costs directly attributable to the issuance of shares recognized as deduction from additional paid in capital are as follows:

Professional fees for legal and counsel opinion, audit and other advice relating to prospectus	₱13,419,368
Underwriting fees	9,423,216
Documentary stamp tax	615,000
Others	556,554
	₱24,014,138

14. Cost of Sale of Electricity

This account consists of:

	Note	2025	September 2024
Depreciation and amortization	9	₱45,057,702	₱50,197,430
Service fees		362,386	6,708,414
Personnel costs		437,549	4,544,807
Security services		2,539,464	2,980,703
Taxes and licenses		8,159,691	1,878,494
Utilities		1,065,422	1,183,650
Insurance		749,967	1,117,505
Rental	19	--	554,067
Others		2,464,613	2,658,140
		₱60,836,793	₱71,823,210

Service fees pertain to distribution wheeling charges, transmission and ancillary services related to the generation of solar energy (see Note 19).

Taxes and licenses pertain mostly to real property tax. On March 24, 2023, the Group received a certificate of tax credit from the local government of Zambales amounting to ₱7,665,785 which was applied against the Group's tax due in 2023.

15. Operating Expenses

This account consists of:

	Note	2025	September 2024
Professional and contractors' fees		₱2,201,061	1,480,067
Personnel cost		989,553	843,523
Taxes and licenses		27,945	1,587,161
Representation		758,293	1,123,733
Seminars and trainings		10,000	--
Depreciation	9	--	27,949
Outside services		1,350,000	4,050,000
Tools and supplies		--	674,090
Transportation and travel		1,136,389	19,746
Others		4,927,361	1,438,585
		₱11,400,602	11,244,854

16. Other Income (Charges)

This account consists of:

	Note	2025	September 2024
Interest income	5	₱678,559	₱1,900,166
Others		20,732,747	--
		₱21,411,306	₱1,900,166

17. Related Party Transactions

The Group has transactions with its related parties in the ordinary course of business as follows:

		Amount of Transactions		Balance at End of Year	
	Nature	September 2025	December 2024	September 2025	December 2024
Due from Related Parties					
Entities Under Common Control	Advances for working capital	22,053,531	9,364,604	198,153,406	176,099,875
	Cash advances	86,887,909	–	91,427,909	4,540,000
PEHC	Advances for working capital	12,368,250	–	12,368,250	--
		121,309,690	9,364,604	301,949,565	180,639,875
Due to Related Parties					
Stockholders	Advances for working capital	(12,231,543)	–	615,679,389	627,910,932
Entities Under Common Control	Advances for working capital	--	--	--	--
PEHC	Advances for working capital	35,975,217	78,040,718	75,646,072	39,670,855
		23,743,674	78,040,718	691,325,461	667,581,787
Less current portion		35,975,217	78,040,718	75,646,072	39,670,855
Noncurrent portion		(12,231,543)	--	615,679,389	627,910,932

Due from Related Parties

Due from related parties are non-interest bearing, unsecured, collectible in cash, and due and demandable.

No impairment loss was recognized in 2024, 2023 and 2022. In 2022, the Group directly wrote off ₱6,488,455 of advances to a related party (see Note 16).

In 2024, the Group offset amounts due from PEHC amounting to ₱6,869,863 against the amounts due to PEHC.

Due to Related Parties

Due to related parties is non-interest bearing, unsecured and payable in cash, and due and demandable.

Due to PEHC

In 2023, PEHC applied its advances amounting to ₱248,159,916 as payment for an additional subscription of common shares from the unissued portion of the authorized capital stock and a portion of the increase in authorized capital stock aggregating ₱75,000,000. The excess of the advances over the par value of the additional subscription resulted to additional paid-in capital of ₱173,159,916 (see Note 13).

In 2024, PEHC applied its advances amounting to ₱31,500,000 as payment for additional subscription to 315,000,003 common shares (see Note 13).

Due to Stockholders

In 2016, the Group received foreign currency-denominated advances from a stockholder amounting to United States (US) Dollar \$10,643,606.

On April 3, 2024, pursuant to the waiver from a creditor bank on SPARC's compliance with the financial covenants on its loans, SPARC is directed not to pay the amounts due to related parties as long as the loan remains outstanding (see Note 11). Consequently, the Group reclassified the due to related parties from current to noncurrent as at December 31, 2024.

Unrealized foreign exchange gain (loss) from these advances amounted to (₱26,342,924), ₱4,097,802 and (₱50,620,990) in 2024, 2023 and 2022, respectively (see Note 16).

Outside Services

Outside services pertain to the allocated share of SPARC of the common costs incurred by a related party which is generally payable in cash. These costs are for general administration, corporate finance and personnel and management.

Compensation of Key Management Personnel

Short-term benefits paid to the key management personnel of the Group amounted to ₱1,043,154, ₱2,880,000 and ₱2,880,000 in 2024, 2023 and 2022, respectively.

Related Party Transactions Eliminated During Consolidation

Related party transactions eliminated in the consolidation pertain to due to and from related parties for working capital purposes. Total due from and to related parties which are eliminated amounted to ₱58,349,374 and ₱12,204,198, as at December 31, 2024 and 2023, respectively. The total amounts of transactions were ₱46,145,176 and ₱1,985,188 in 2023 and 2022, respectively.

All related party transactions comply with the related party transactions policy of the Group including the adherence to the required approval process. This encompasses a thorough review by the related party committee and the approval of BOD for all transactions.

18. Income Taxes

The Group's current income tax expense pertains to the 10% preferential income tax amounting to ₱4,320,465 and ₱2,150,525 in 2024 and 2023, respectively. There was no current income tax expense in 2022 as the Group is in a net taxable loss position and portion of its operations are exempt from income tax.

SPARC is entitled to tax incentives under its registration with the Board of Investments (BOI) for the operation of its Solar Power Plants. One of the incentives is a seven-year income tax holiday (ITH) from March 2016, the date of actual commercial operations. The ITH is only applicable to revenues generated from the sale of electricity of the Solar Power Plants (the Registered Activity). SPARC's ITH

expired in March 2023. After the expiration of the ITH, SPARC is entitled to a 10% preferential tax on net taxable income.

As at December 31, 2024 and 2023, the Group recognized deferred tax assets in anticipation of future taxable income from its operations. Details are as follows:

	2024	2023
Unrealized foreign exchange loss	₱8,770,459	₱6,136,167
Excess of lease liabilities over ROU assets	493,274	435,089
Discount on FIT rate differential receivables	295,513	128,624
Allowance for impairment of trade receivables	246,755	246,755
Retirement liability	104,332	85,820
	₱9,910,333	₱7,032,455

The Group recognized deferred tax benefit (expense) in other comprehensive gain (loss) amounted to (₱4,916) and ₱25,174 in 2024 and 2023, respectively, which pertains to the remeasurement gain (loss) on retirement liability (see Note 12).

Deferred tax liability presented in the consolidated statements of financial position amounting to ₱24,375,763 and ₱25,958,605 as at December 31, 2024 and 2023, respectively, pertains to excess of fair value over the carrying amount of property, plant and equipment from business combination.

The Group did not recognize deferred tax asset on NOLCO amounting to ₱1,900,800 and ₱461,325 as at December 31, 2024 and 2023, respectively, since the management assessed that it may not be probable that sufficient taxable income will be available against which the benefits of these assets can be utilized.

Details of the Group's NOLCO are as follows:

Year Incurred	Balance at Beginning of Year	Incurred	Expired	Balance at End of Year	Expiration Year
2024	₱—	₱5,757,901	₱—	₱5,757,901	2027
2023	1,416,207	—	—	1,416,207	2026
2022	153,815	—	—	153,815	2025
2021	113,738	—	—	113,738	2026
2020	161,540	—	—	161,540	2025
	₱1,845,300	₱5,757,901	₱—	₱7,603,201	

As mandated by Section 4 of Republic Act No. 11494 or the "Bayanihan to Recover as One Act" and as implemented under Revenue Regulations No. 25-2020, the net operating loss of a business enterprise incurred for the taxable years 2021 and 2020 can be carried over as a deduction from taxable income for the next five (5) consecutive taxable years following the year of such loss.

The reconciliation of income tax computed at the statutory tax rate to income tax benefit as shown in the consolidated statements of comprehensive income is summarized as follows:

2024	2023	2022
------	------	------

Income tax expense (benefit) computed at 25% statutory income tax rate	₱354,738	₱3,738,745	(₱6,094,546)
Difference in tax rates:			
Income subjected to 10% preferential tax rates	(2,217,204)	(3,405,376)	–
Income subject to ITH	–	(673,901)	(1,340,547)
Changes in unrecognized deferred tax assets	1,439,475	(6,802,107)	4,703,959
Add (deduct) tax effects of:			
Nondeductible expenses	412,349	813,600	675,565
Interest income on FIT rate differential receivables	(109,949)	(109,756)	–
Interest income subjected to final tax	(24,580)	(803)	(8,203)
Expired NOLCO	–	–	480,930
	(₱145,171)	(₱6,439,598)	(₱1,582,842)

19. Significant Commitments

The Group as a Lessee

The Group entered into lease agreements for a period of 20 years for the lease of land where the solar power plants are situated. The lease contracts have renewal provisions of 10 years subject to mutual agreement by the Group and the lessors.

Leasehold rights on various contracts of lease are covered by real estate mortgage as security to the Group's loan with a local bank (see Note 11).

Balance of security deposits made on the lease agreements which will be applied at end of lease term amounted to ₱188,278 and ₱188,278 as at September 30, 2025 and December 31, 2024, respectively (see Note 8).

The balances and movements in ROU assets are as follows:

	Note	September 2025	December 2024
Cost			
Balance at beginning and end of year		₱51,826,259	₱51,826,259
Accumulated Amortization			
Balance at beginning of year		18,114,032	15,095,027
Amortization	9	--	3,019,005
Balance at end of year		18,114,032	18,114,032
Carrying Amount		₱33,712,227	₱33,712,227

The balance and movements in lease liabilities are as follows:

	Note	September 2025	December 2024
Balance at beginning of year		₱38,644,965	₱41,082,119
Interest expense	11	1,657,096	2,298,808
Payments		(3,565,471)	(4,735,962)
Balance at end of year		36,736,590	38,644,965
Less current portion		2,579,469	2,579,469
Noncurrent portion		₱34,157,121	₱36,065,496

Future minimum lease payables under the non-cancellable lease agreement as at December 31 are as follows:

	September 2025		December 2024	
	Minimum Lease Payments	Present Value	Minimum Lease Payments	Present Value
Within one year	₱ 4,735,962	₱ 2,579,469	₱4,735,962	₱2,579,469
More than one year up to five years	23,679,805	15,340,565	23,679,805	15,340,565
More than five years	21,055,338	18,816,556	23,694,667	20,724,931
	₱49,471,105	₱36,736,590	₱52,110,434	₱38,644,965

The Group has certain leases for staff house with a lease term of 12 months or less. The Group applies the “short-term lease” recognition exemption for these leases.

Total amount of cash outflows related to payments of lease liability and short-term lease amounted to ₱4,945,962, ₱4,955,204 and ₱4,915,962 in 2024, 2023 and 2022, respectively.

Renewable Energy Generation

Solar Energy Service Contracts (SESC)

The Government, through the DOE, awarded SESC to the Group that grant exclusive right to explore, develop and utilize solar energy resources within specified contract areas. The contract period is 25 years and is divided into two (2) stages: the pre-development stage and the development or commercial stage.

The pre-development stage refers to preliminary assessment and feasibility study activities and shall be for a period of two (2) years from the effective date with an extendible period of one (1) year. The development or commercial stage commences from the confirmation of commerciality by the DOE and refers to the construction and installation of facilities up to the operation phase.

As at December 31, 2024, the status of the Group's projects are as follows:

Project	Subsidiary	Location	Status of Project
Morong Solar Power Project	SPARC	Morong, Bataan	Commercial Stage
San Rafael Solar Power Project	SPARC	San Rafael, Bulacan	Commercial Stage
Palauig Solar Power Project	SPARC	Palauig, Zambales	Commercial Stage
Palauig 2 Solar Power Plant	SHPEC	Palauig, Zambales	Pre-development Stage
Valencia Solar Power Plant	SHPEC	Valencia, Bukidnon	Pre-development Stage

Disaggregation of Revenue from Solar Energy Generation

The Group's revenue from contracts with customers is as follows:

	2024	2023	2022
Feed-in-Tariff (FIT)	₱64,076,671	₱61,840,977	₱66,120,471
Wholesale Electricity Spot Market (WESM)	51,580,492	68,342,789	86,877,889
	₱115,657,163	₱130,183,766	₱152,998,360

Certificate of Compliance for Feed-In-Tariff System (COC-FIT)

On February 6, 2017, the ERC issued a COC-FIT for the Palauig Solar Power Project in Zambales. The Palauig Solar Power Project is entitled to the FIT rate, as approved by the ERC for a period of 20 years from March 16, 2016 to March 12, 2036. The term of COC-FIT is until December 7, 2021.

On February 4, 2022, SPARC was granted a Provisional Authority to Operate under FIT system (PAO- FIT) for a period of another year until December 7, 2022 which was subsequently renewed for another year. As at report date, SPARC is operating under PAO-FIT and still in the process of applying for the renewal of the COC-FIT.

Renewable Energy Payment Agreement (REPA) with National Transmission Corporation (TransCo.)

On July 5, 2016, the Group entered into an agreement with TransCo. to set-out rights and obligations relating to the payment of actual FIT revenue to the Group for electricity generated in the 5.0-MW plant in Palauig, Zambales.

On May 6, 2020, the Energy Regulation Commission issued ERC Resolution No. 06 series of 2020 which approved the adjustments to FIT rate from 2017 to 2020. The Group accrued the retroactive revenue adjustments based on the revised FIT rates.

Revenue from the FIT rate differential adjustments amounted to ₱5,508,357, ₱5,129,244 and ₱5,754,580 in 2024, 2023 and 2022, respectively. As at December 31, 2024 and 2023, the carrying amount of FIT rate differential receivables amounted to ₱31,288,377 and ₱28,705,942, respectively (see Note 7).

Market Participation Agreement (MPA)

The Group entered an MPA to be a WESM Participant with IEMOP as its Market Operator to sell bulk energy generated from its solar power plants subject to WESM rules and manuals.

Wind Energy Service Contract (WESC)

The Government, through the DOE, awarded wind energy service contracts to the Group that grant exclusive right to explore and develop wind energy within a specified contract area. The contract period is 25 years, which is divided into two (2) stages: the pre-development stage and the development stage or commercial stage.

The pre-development stage refers to preliminary assessment and feasibility study activities and shall be for a period of two (2) years from the effective date with an extendible period of one (1) year. The development or commercial stage commences from the confirmation of commerciality by the DOE and refers to the construction and installation of facilities up to the operation phase.

As at December 31, 2024, the Group has the following WESCs:

Project	Subsidiary	Location	Status of Project
Asisan Wind Farm	ARC	Tagaytay City, Mendez and Alfonso, Cavite	Pre-development Stage
Capalonga Offshore Wind Farm	ARC	Capalonga, Camarines Norte	Pre-development Stage
Dapdap East Wind Farm	ARC	Talisay, Batangas	Pre-development Stage
Dumaguete Offshore Wind Farm	ARC	Dumaguete, Negros Oriental	Pre-development Stage
Mariveles Offshore Wind Farm	ARC	Mariveles, Bataan	Pre-development Stage
Mercedes Offshore Wind Farm	ARC	Mercedes, Camarines Norte	Pre-development Stage
Sambong Onshore Wind Farm	ARC	Laurel and Nasugbu, Batangas	Pre-development Stage
Sebaste Offshore Wind Farm	ARC	Sebaste, Antique	Pre-development Stage
Mauban Offshore Wind Farm	ARC	Mauban, Quezon Province	Pre-development Stage
Real Offshore Wind Farm	ARC	Real, Quezon Province	Pre-development Stage
Pandan Labayat Wind Farm	ARC	Pandan, Quezon Province	Pre-development Stage
Silang Maragondon Wind Farm	ARC	Silang, Quezon Province	Pre-development Stage

In 2024, REDC assigned its Real Offshore, Pandan Labayat, Mauban Offshore and Silang Maragondon Wind Farms to ARC.

Memorandum of Agreement (MOA) with the DOE

On April 11, 2016, the Group entered into an agreement with the DOE to grant financial benefits and/or energy resources to its host communities pursuant to Energy Regulations (E.R.) No. 1-94 implementing Section 5(i) of R.A. No. 7638, otherwise known as the “Department of Energy Act of 1992”. The agreement covers the solar power plants of the Group in Bataan, Bulacan and Zambales.

The accrued financial benefits amounted to ₱1,579,571 and ₱1,409,741 as at December 31, 2024, and 2023, respectively. These are recorded as part of “Accrued expenses” under “Trade and other payables” in the consolidated statements of financial position.

Metering and Transmission Service Agreement with NGCP

On June 26, 2016, the Group entered into an agreement with NGCP to construct concrete foundations and grounding connections, security fence, land line and telephone connection for the Group's power plants and pay the metering and transmission service charge to NGCP in accordance with prescribed rates.

Metering and transmission costs charged to operations amounted to ₱9,771,072, ₱9,634,648 and ₱9,640,223 in 2024, 2023 and 2022, respectively. These are recorded as part of "Service fees" under "Cost of services" in the consolidated statements of comprehensive income.

In 2021, NGCP implemented the recovery of ancillary services from its load customers pursuant to the ERC's directive dated July 22, 2021. Starting September 1, 2021, NGCP ceased the inclusion of ancillary services charges to SPARC. In 2024, SPARC reversed a portion of previously accrued services amounting to ₱28,576,549 in accordance with NGCP's statement of account as at December 31, 2024.

Accrued ancillary service costs amounted to ₱25,338,899 and ₱53,971,922 as at December 31, 2024, and 2023, respectively. These are recorded as part of "Accrued expenses" under "Trade and other payables" in the consolidated statements of financial position.

Legal Proceedings

The Group is involved in certain legal proceedings. Management believes that the ultimate liability, if any, with respect to such disputes will not materially affect the financial position of the Group.

20. Financial Risk Management Objectives and Policies and Capital Management

The Group's principal financial instruments consist mainly of financial assets and financial liabilities directly related to operations specifically cash, funds held in escrow, trade receivables, FIT rate differential receivables, due from related parties, restricted cash (presented as "Other current assets"), trade and other payables (excluding statutory payables), loan payable, lease liabilities and due to related parties.

The main risks arising from the Group's financial instruments are credit risk, liquidity risk, interest rate risk and foreign currency risk. The BOD reviews and agrees on policies for managing each of these risks.

Credit Risk

Credit risk is the risk that a counterparty may fail to discharge an obligation to the Group. The Group is exposed to this risk for various financial instruments, for example by granting loans and receivables to customers including related parties, placing deposits with banks and investing in short-term placements.

The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Group's policy is to deal only with creditworthy counterparties.

Generally, receivables are written off when there is no reasonable expectation of recovery. Indicators of this include the failure of a debtor to engage in a repayment plan, no active enforcement activity, and a failure to make contractual payments for a period greater than one (1) year.

The carrying amount of financial assets recorded in the consolidated financial statements, which is net of impairment losses, representing the Group's maximum exposure to credit risk without considering the value of any collateral obtained is summarized below:

	September 2025	December 2024
Cash in banks	₱ 84,263,083	₱ 9,340,042
Funds held in escrow	202,711,672	398,493,436
Trade receivables and FIT rate differential receivables	55,387,436	46,654,242
Due from related parties	301,949,565	180,639,875
Restricted cash	9,145,302	8,747,465
	₱653,457,057	₱643,875,060

* Presented as part of "Other current assets" account.

An impairment analysis on trade receivables is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due for customers with similar loss patterns. The Group does not hold collateral as security.

The Group's trade receivables and FIT rate differential receivable are collectible from TransCo., a government-owned and controlled corporation, and Independent Electricity Market Operator of the Philippines, an autonomous group market operator.

The credit quality of financial assets is managed by the Group using internal credit quality ratings.

The table below shows the credit risk exposure of the Group's financial assets at amortized cost via provision matrix and the corresponding ECL recognized for each age category.

September 2025							
	High Grade	Standard Grade	Past Due		More than 90 Days	Total	Expected Credit Loss
			1 - 30 Days	31 - 90 Days			
Lifetime ECL:							
Trade receivables	₱ –	₱ –	₱ –	₱ –	₱27,226,395	₱27,226,395	₱2,467,554
FIT rate differential receivables	–	28,161,041	–	–	–	28,161,041	–
	–	28,161,041	–	–	27,226,395	₱55,387,436	₱2,467,554
12-month ECL:							
Cash in banks	84,263,083	–	–	–	–	84,263,083	–
Funds held in escrow	202,711,672	–	–	–	–	202,711,672	–
Restricted cash	–	9,145,302	–	–	–	9,145,302	–
Due from related parties	–	301,949,565	–	–	–	301,949,565	–
	286,974,754	311,094,866	–	–	–	598,069,621	–
	286,974,754	339,255,907	–	–	27,226,395	653,457,057	2,467,554
December 2024							
	High Grade	Standard Grade	Past Due		More than 90 Days	Total	Expected Credit Loss
			1 - 30 Days	31 - 90 Days			
Lifetime ECL:							
Trade receivables	₱–	₱10,908,697	₱296,707	₱65,454	₱6,562,561	₱17,833,419	₱2,467,554
FIT rate differential receivables	–	31,288,377	–	–	–	31,288,377	–
	–	42,197,074	296,707	65,454	6,562,561	49,121,796	2,467,554
12-month ECL:							
Cash in banks	9,340,042	–	–	–	–	9,340,042	–
Funds held in escrow	398,493,436	–	–	–	–	398,493,436	–
Restricted cash	–	8,747,465	–	–	–	8,747,465	–
Due from related parties	–	180,639,875	–	–	–	180,639,875	–
	407,833,478	189,387,340	–	–	–	597,220,818	–
	₱407,833,478	₱231,584,414	₱296,707	₱65,454	₱6,562,561	₱646,342,614	₱2,467,554

The Group's financial assets are categorized based on the Group's collection experience with the

counterparties as follows:

- High Grade - settlements are obtained from a counterparty following the terms of the contracts without much collection effort.
- Standard Grade - some reminder follow-ups are performed to obtain settlement from the counterparty.
- Past Due - items with a history of frequent defaults but nevertheless the amount of due are still collectible.

The Group's cash in bank, restricted cash and funds held in escrow are classified as high grade since these are deposited in highly reputable and pre-approved financial institutions with good credit rating in the local banking industry.

The risk of default for related parties is low since the Group transacts with related parties that have capacities to meet their contractual cash flow obligation in the near term. The Group assessed that the ECL from these financial assets are not significant.

Liquidity Risk

Liquidity risk arises from the Group's inability to raise sufficient funds at the least possible cost to meet its financial commitments. The Group's objectives in liquidity management are: (a) to ensure that adequate funds are available to meet expiring obligations; (b) to meet the commitments as they arise without incurring unnecessary costs; and (c) to be able to access additional funding when needed at the least possible cost.

The table below summarizes the maturity profile of the financial liabilities of the Group based on remaining contractual undiscounted cash flows:

September 2025					
	Due and Demandable	Less than 1 year	2-5 years	Over 5 years	Total
Trade and other payables*	P-	P14,602,590	P-	P-	P14,602,590
Loan payable**	-	25,974,091	51,625,100	-	77,599,191
Lease liabilities**	-	4,735,962	23,679,805	10,477,316	38,893,083
Due to related parties	75,646,072	-	615,679,389	-	691,325,461
	P75,646,072	P45,312,643	P690,984,294	P10,477,316	P822,420,325

*Excluding statutory payables amounting to P 144,768 as at September 30, 2025.

**Including future interests

December 2024					
	Due and Demandable	Less than 1 year	2-5 years	Over 5 years	Total
Trade and other payables*	P-	P32,833,101	P-	P-	P32,833,101
Loan payable**	-	31,671,579	78,391,318	-	110,062,897
Lease liabilities**	-	4,735,962	23,679,805	23,694,667	52,110,434
Due to related parties	39,670,855	-	627,910,932	-	667,581,787
	P39,670,855	P69,240,642	P729,982,055	P23,694,667	P862,588,219

*Excluding statutory payables amounting to P541,208 as at December 31, 2024.

**Including future interests.

The Group monitors its risk to a shortage of funds through analyzing the maturity of its financial assets and cash flows from operations. The Group monitors its cash position by a system of cash forecasting. All expected collections and disbursements are determined daily to arrive at the projected cash position to cover its obligations.

Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

The Group's market risk policy requires it to manage interest rate risk by maintaining an appropriate mix of fixed and variable rate instruments. The policy also requires it to manage the maturities of interest-bearing financial assets and liabilities. Any gap between the maturities of fixed and variable rate instruments is effectively managed by the Group. The future interest rates changes are not expected to significantly affect the Group's income before income tax.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates with other variables held constant to the Group's income before income tax:

	Increase (decrease) in basis point	Increase (decrease) to net income
December 31, 2024	100	(₱971,494)
	(100)	971,494
December 31, 2023	100	(1,231,234)
	(100)	1,231,234

For sensitivity analysis, interest repricing was used as the basis for estimating the possible impact of interest rate changes to income before income tax.

Foreign Currency Risk

The Group's due to stockholders is denominated in US Dollar. Consequently, exposures to exchange rate fluctuations arise. The Group's policy is to maintain foreign currency exposure within acceptable limits and within existing regulatory guidelines.

The dollar equivalent of the foreign currency-denominated due to related parties amounted to US\$10,643,606 as at December 31, 2024 and 2023. The carrying amounts of the Group's foreign currency-denominated due to related parties amounted to ₱615,679,388 and ₱589,336,465 as at December 31, 2024, and 2023, respectively.

The exchange rates per peso applied for purposes of restating the outstanding balance are ₱57.85 and ₱55.37 as at December 31, 2024 and 2023, respectively.

Sensitivity Analysis. The following table demonstrates the sensitivity to a reasonable possible change in foreign exchange rates, with all other variables held constant, of the Group's income before income tax:

	Reasonable possible change	Increase (decrease) to net income
December 31, 2024	(2.1%)	₱12,394,479
	1.9%	(11,229,004)
December 31, 2023	(1.1%)	6,732,081
	1.7%	(9,951,772)

The percentage change is based on historical volatility and management's expectation of future changes in foreign exchange rates.

Capital Management

The primary objective of the Group's capital management is to ensure that it maintains strong and healthy financial position to support its current business operations and drive its expansion and growth in the future.

The Group regularly monitors its capital position and assesses business conditions to ensure early detection and determination of risks and its consequent adverse impact. The Group adopts measures, as deemed necessary and appropriate, to mitigate risks.

In determining reasonable leverage, the Group evaluates its cost of capital and manages its level of debt to maintain an optional cost of capital based in current conditions. The Group considers its equity as capital.

SPARC is required to maintain debt-to-equity ratios in accordance with its loan agreements (see Note 11).

No changes were made in the objectives, policies, and process in 2024 and 2023.

21. Fair Value Measurement

Cash, Funds Held in Escrow, Trade and Other Receivables, Due from Related Parties, Restricted Cash, Trade and Other Payables (Excluding Statutory Payable), and Due to Related Parties. Due to the short-term nature of transactions, the carrying amount of these instruments approximate the fair values as at reporting dates.

FIT Rate Differential Receivables. The fair value of the FIT rate differential receivables is the present value of all future cash inflow discounted using applicable rates for similar types of receivables. The fair value of the FIT rate differential receivables is classified under level 2 (significant observable inputs) of the fair value hierarchy. The average discount rates used are 5.35% and 5.24% in 2024 and 2023, respectively. The carrying amount as at December 31, 2024 and 2023 approximates its fair value.

Loan Payable. The fair value of loan payable is the present value of all future cash flows discounted using applicable rates for similar types of loans. The fair value of the loan payable is classified under level 2 (significant observable inputs) of the fair value hierarchy. The fair value of the loan payable amounted to ₱108,896,364 and ₱140,814,377 as at December 31, 2024 and 2023, respectively. The discount rates used are 6.07% and 5.60% in 2024 and 2023, respectively.

Transfers between Fair Value Hierarchy

There were no transfers among levels in the fair value hierarchy for the years ended December 31, 2024, and 2023.

22. Basic/Diluted Earnings (Loss) Per Share

The following table presents information necessary to calculate earnings (loss) per share:

September

	2025	2024
Net income (loss) attributable to the equity holders of the Parent Company	₱6,946,640	₱3,255,427
Weighted average number of common shares	1,288,383,564	87,500,000
	0.005	₱0.004

Earnings (loss) per share is calculated using the net income (loss) divided by the weighted average number of common shares. The Group has assessed that there were no dilutive common shares as at September 30, 2025 and December 31, 2024.

In 2022, the number of common shares and earnings (loss) per share information have been retroactively adjusted to reflect the reduction in par value of shares (see Note 13).

23. Segment Reporting

For management reporting purposes, the Group is organized based on its activities and has one operating segment which is the renewable energy generation segment. This segment undertakes the generation of electricity through solar power plants and wind farms which are within the Group's

NEXGEN ENERGY CORP. AND SUBSIDIARIES**FINANCIAL SOUNDNESS INDICATORS**

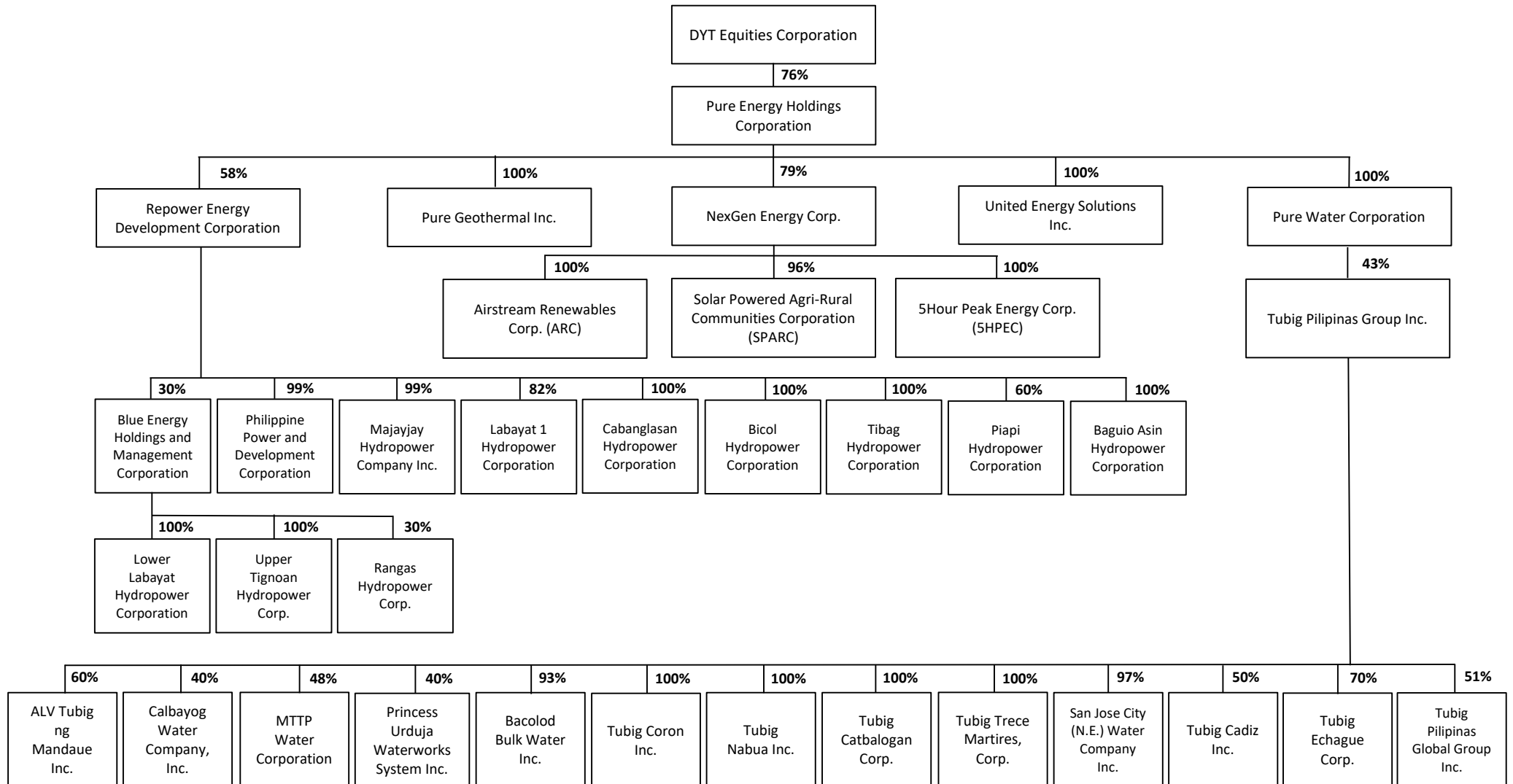
Below is a schedule showing financial soundness indicators of the Group as at and for the periods ended September 30, 2025 and December 31, 2024.

Ratio	Formula	September 2025	December 2024
Current ratio	Current assets/current liabilities	5.026	5.98
Acid test ratio	Quick assets/current liabilities	0.92	4.13
Solvency ratios	Net income before amortization and depreciation/total liabilities	0.06	0.07
Debt-to-equity ratio	Total liabilities/total equity	1.06	1.09
Asset-to-equity ratio	Total assets/total equity	1.00	2.09
Interest service coverage ratio	Income before interest expense, depreciation and amortization, and income tax/interest expense	9.6	7.58
Return on equity	Net income/total equity	0.009	0.002
Return on assets	Net income/total assets	0.004	0.001
Net profit margin	Revenue less cost/revenue	0.05	0.21

NEXGEN ENERGY CORP. AND SUBSIDIARIES

CONGLOMERATE MAP

September 30, 2025



NEXGEN ENERGY CORP. AND SUBSIDIARIES

**SUPPLEMENTARY SCHEDULES AS REQUIRED BY PART II OF THE REVISED SRC RULE NO. 68
SEPTEMBER 30, 2025**

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NEXGEN ENERGY CORP. SUBSIDIARIES

**SCHEDULE B – AMOUNTS RECEIVABLE FROM RELATED PARTIES WHICH ARE ELIMINATED
DURING THE CONSOLIDATION OF THE FINANCIAL STATEMENTS**

September 30, 2025

<i>Name and designation of debtor</i>	<i>Balance at beginning of period</i>	<i>Additions</i>	<i>Deductions</i>		<i>Ending Balance</i>		<i>Balance at end of the period</i>
			<i>Amounts collected</i>	<i>Amounts written off</i>	<i>Current</i>	<i>Noncurrent</i>	
Solar Powered Agri-rural Communities Corporation (SPARC)	₱14,286,331	13,733,669	–	–	28,020,000	–	28,020,000
Airstream Renewables Corp.	39,667,838	–	29,836,538	–	–	–	9,831,300
5hour Peak Energy Corp.	4,395,205	19,887,795	–	–	9,831,300	–	24,283,000
	₱58,349,374	33,621,464	29,836,538	–	24,283,000	–	62,134,300

NEXGEN ENERGY CORP. AND SUBSIDIARIES**SCHEDULE C – LONG TERM DEBT****SEPTEMBER 30, 2025**

Title of Issue and Type of Obligation	Amount Authorized by Indenture	Amount shown under caption "Current portion of Loan payable" in related consolidated statements of financial positoin	Amount shown under caption "Loan payable - net of current portion " in related consolidated statements of financial position			
			Carrying amount	Interest rate	Payment term	Maturity date
Loans payable - Landbank of the Philippines	₱800,000,000	₱25,974,091	₱51,625,100	6.50%	44 quarterly payments of principal and interest	September 9, 2028

NEXGEN ENERGY CORP. AND SUBSIDIARIES

SCHEDULE D – CAPITAL STOCK**SEPTEMBER 30, 2025**

<i>Title of Issue</i>	<i>Number of shares authorized</i>	<i>Number of shares issued and outstanding as shown under the related consolidated statement of financial position caption</i>	<i>Number of shares reserved for options,warrants, conversion and other rights</i>	<i>Number of shares held by</i>		
				<i>Related parties</i>	<i>Directors, officers and employees</i>	<i>Others</i>
Common stock - ₱0.10 par value	2,000,000,000	1,490,000,003	–	1,174,999,930	63	315,000,010

**PARENT COMPANY'S RECONCILIATION OF RETAINED EARNINGS AVAILABLE FOR
DIVIDEND DECLARATION
FOR THE REPORTING PERIOD ENDED SEPTEMBER 30, 2025**

NexGen Energy Corp.

3rd Floor JTKC Centre, 2155 Don Chino Roces Ave., Makati City, Philippines

	Amount
Deficit, beginning of reporting period	₱(14,885,174)
Add(Deduct): Net Income(loss) for the current year	--
Deficit, end of the reporting period available for dividend	₱(14,885,174)

**SCHEDULE FOR LISTED COMPANIES WITH A RECENT OFFERING OF
SECURITIES TO THE PUBLIC**

**NexGen Energy Corp.
FOR THE REPORTING PERIOD ENDED SEPTEMBER 30, 2025**

	Actual				
	Receipts (Disbursements)				
	Balance as at June 30, 2025	during the Third Quarter of 2025	Balance as at September 30, 2025	Planned	Unapplied/ (Overapplied)
Gross proceeds	₱504,000,000	₱—	₱504,000,000	₱504,000,000	₱—
IPO expenses	(25,950,329)	—	(25,950,329)	(25,600,000)	(350,329)
Net proceeds	478,049,671	—	478,049,671	478,400,000	(350,329)
	Actual				
	Receipts (Disbursements)				
	Balance as at June 30, 2025	during the Third Quarter of 2025	Balance as at September 30, 2025	Planned	Unapplied/ (Overapplied)
Use of Proceeds:					
Partially fund the equity portion of:					
Palauig 2 Zambales Solar Project	(₱18,000,000)	₱—	(₱18,000,000)	(₱55,000,000)	₱37,000,000
Silang Maragondon Wind Project	(76,000,000)	—	(76,000,000)	(90,000,000)	14,000,000
Asisan Wind Project	(31,904,784)	—	(31,904,784)	(80,000,000)	48,095,216
Fund the development and/or acquisition of renewable energy projects	(41,757,595)	—	(41,757,595)	(150,000,000)	108,242,405
Fund operating and working capital requirements	(21,592,621)	—	(21,592,621)	(89,400,000)	67,807,379
Fund the development of the power facilities for a climate controlled indoor farm	—	—	—	(14,000,000)	14,000,000
	(189,255,000)	—	(189,255,000)	(478,400,000)	289,145,000
Net realized foreign exchange gain (loss)	(3,126,000)	1,474,195	(1,651,805)	—	(1,651,805)
Interest income:					
Foreign currency time deposit	755,183	775,318	1,530,501	—	1,530,501
Escrow account	260,444	51,228	311,672	—	311,672
	(191,365,373)	2,300,741	(189,064,632)	(478,400,000)	289,335,368
Unapplied Proceeds	₱286,684,298	₱2,300,741	₱288,985,039	₱—	₱288,985,039

ONEXGEN ENERGY CORP.
SUPPLEMENTARY SCHEDULE OF EXTERNAL AUDITOR FEE-RELATED INFORMATION
FOR THE REPORTING PERIOD ENDED SEPTEMBER 30, 2025

	September 2025	December 2024
Parent Company		
Total Audit Fees	P--	P220,000
Non-audit service fees:		
Issuance of comfort letter	--	1,000,000
Agreed-upon procedures for use of proceeds from the initial public offering	--	150,000
Total Non-Audit Fees	--	1,150,000
Total Audit and Non-Audit Fees	P--	P1,370,000
Other Related Entities		
Audit fees	P--	P575,000
Total Audit Fees of Other Related Entities	P--	P575,000

PART I--FINANCIAL INFORMATION

SECTION 2

**MANAGEMENT'S DISCUSSION AND ANALYSIS OF
FINANCIAL CONDITION AND RESULTS OF OPERATIONS**

NEXGEN ENERGY CORP.

**MANAGEMENT'S DISCUSSION AND ANALYSIS OF
FINANCIAL CONDITIONS AND RESULTS OF OPERATIONS.**

**AS AT SEPTEMBER 30, 2025 AND DECEMBER 31, 2024 AND
FOR THE NINE-MONTH PERIODS ENDED SEPTEMBER 30, 2025 AND 2024**

1. FINANCIAL CONDITION

As at September 30, 2025 compared to as at December 31, 2024

The total assets of NEXGEN ENERGY CORP and Subsidiaries (the Group) decreased by ₱9.2 million (-56%) from December 31, 2024 due mainly to the utilization of funds held previously held in escrow.

The total liabilities of the Group decreased by ₱16.6 million (-2%) due primarily to payments made to various contractors, suppliers, and loan obligations.

The Group's total equity increased by ₱7.4 million (+0.93%) due to the net income for the (9) nine months operations.

Relevant financial ratios related to the Group's financial position are liquidity ratio, solvency ratio, debt to-equity ratio and asset-to-equity ratio.

The Group's liquidity ratios (current and acid test ratios) decreased from 5.98:1 and 4.13:1 as at December 31, 2024 to 5.26:1 and 0.92:1 as at September 30, 2025 due mainly to use of the IPO funds held in escrow.

The solvency ratio decreased from 0.07:1 to 0.06:1 as at December 31, 2024 and September 30, 2025 since the movement of the Group's net income before depreciation and amortization decreased as well.

The debt-to-equity ratio of 1.09:1 as at December 31, 2024 compared to the 1.06:1 as at September 30, 2025. The slight decrease of the debt-to-equity ratio was due from the increase of due to related parties –current portion.

The asset-to-equity ratio of the Group slightly increased from 2.09:1 as at December 31, 2024 to 1.00:1 as at September 30, 2025 due to increase in its non-current assets.

2. RESULTS OF OPERATIONS

In comparison of results of September 30, 2025 with September 30, 2024

Total revenues decreased by ₱34.8 million for the period ended September 30, 2025, primarily due to a ₱2.06 decrease in IEMOP's average rate per kWh compared to the same period in the previous year. Consequently, gross income decreased by ₱23.8 million. The total comprehensive income of the Group for the period ended September 30, 2025 registered at ₱7.4 million which is ₱2 million lower than that of the previous year for the same period.

Key factors to the changes of the items above are as follows:

- a. Revenue decreased mainly as a result of lower electric generation of SPARC.
- b. Operating expenses increased by ₱155.8 thousand.
- c. Interest expense on loans payable is gradually reducing due to quarterly payments of principal amounts.

The resulting basic and diluted earnings per share of the Group decreased from P0.095 per share to 0.005 per share. This is due to the net income after expenditures for initial public offering and accrued interest expense recorded.

Relevant profitability ratios related to the Group's financial performance are return on equity, return on total assets and net income margin compared from September 30, 2025 with December 31, 2024.

The return on equity of the Group increased to 0.009:1 from 0.002:1. Consequently, the return on assets increased from 0.001:1 to 0.004:1 as at September 30, 2025 as compared to December 31, 2024. Net income margin decreased to 0.05:1 from 0.21:1 as September 30, 2025 as compared to December 31, 2024

3. OTHER DISCLOSURES

There were no material events subsequent to the end of the interim period that have not been reflected in the unaudited interim financial statements.

There were material changes in the composition of the Group during the interim period, including business combinations and acquisitions.

The Group has no contingent liabilities or contingent assets as at September 30, 2025.

There are no material contingencies and any other events or transactions that are material to the understanding of the current interim period.

There are no known trends or demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the Group's liquidity increasing or decreasing in any material way.

There are no events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation.

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.

There are no material commitments for capital expenditures which are out of the scope of the use of proceeds from the IPO. There are no known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net revenues or income from continuing operations.

All significant elements of income or loss were generated from the Group's registered and continuing business operations.

Aside from the resulting effects of the IPO of the Group, there are no other nonrecurring or seasonal aspects that had a material effect on the financial condition or results of operations.

